PRISM · PREDICTIVE RESEARCH INTELLIGENCE & SYNTHESIS MACHINE

Salesforce (CRM) — Valuation, Forecast & Positioning

*An enterprise-software deep dive on the multiples and DCF framework, with a four-year critical-ratio panel benchmarked to the peer standard deviation; sections on **total addressable market**, **patents & IP** and **geopolitical & structural (AI-disruption) risk**; litigation and government-policy shifts; a Wall Street comparison; and annual and quarter-over-quarter financial-statement analysis.*

Ticker CRM (NYSE) **Sector** Information Technology · Application software (CRM)

As of 2026-10-16 · $240.70 (16 Oct close) **WACC** 9.6% · ROIC 11% **Content hash** a42a55db65fa2b1c

Status Reviewed draft · sign-off pending

Governance & guardrails. Research only, **not investment advice** (Ethics 3.30). Market and statement data via yfinance. KPIs, TAM, patents, policy/geopolitics, litigation and analyst content were collected from company filings, industry sources and press by research agents, with per-item sources in Appendix C, as of 2026-10-16; re-verify before use. The ASR final settlement (expected Oct 2026), the Contentful and Fin closings (reported in September, not yet in an SEC filing) and Q3 FY27 results (~2 Dec, estimated) are not yet reflected. Scenario probabilities are analyst judgement anchored on published estimates. Forecasts are scenario anchors on a near-random-walk series.

EXECUTIVE BRIEF

Salesforce has gone from 'AI loser' to 'show me'. The stock fell ~41% in H1 2026 on fears that AI agents shrink seat-based CRM, then rose 22.6% in a day when Q2 FY27 delivered cRPO +14%, Agentforce ARR above $1.5bn and a raised FY27 guide. At $240.70 it trades on 15.0× FY28 EPS, below the 11-company software median (16.9×) and far below mega-cap software (22.3×), with a 7.6% FCF yield. Our six methods span $231–$407, with a central $290 (+20%) and $319 in 12 months. After weighting the AI seat-collapse, breach and EU-sovereignty tails, value is $278 on 12-month odds and $259 on 5-year odds. The Street ($286) is in the same place. The debate is not valuation but durability: organic growth is only

~6–7% once Informatica is stripped out, and the $25bn buyback was debt-funded.

- **Valuation:** 15.0× forward P/E (peers 16.9×; enterprise apps 14.4×; mega-cap software 22.3×), 17.1× EV/EBITDA (peers 20.4×), 5.2× EV/Sales and 13.1× P/FCF (peers 22.1×). Trailing reported P/E is 20.5×, but TTM net income includes $5.0bn of gains on strategic investments (mostly Anthropic); ex gains it is 34.7×. Our DCF (WACC 9.6%) gives $142 / $249 / $307 (bear/base/bull). The base case is close to the price; the multiples are what make the stock look cheap.
- **Ratios FY2023–FY2026 vs peer σ:** Salesforce is a **cash-flow and valuation outlier, not a growth or returns outlier**. FCF margin rose from 20% (−0.5σ) to 35% (+0.8 to +1.0σ), FCF conversion runs at 190–230% of net income, and stock comp fell to 8% of revenue (better than peers by 0.6–0.8σ). But revenue growth (9–11%) is 0.7–1.1σ below peers, ROIC (11%) is 0.7σ below the FY26 peer mean, asset turnover is −1.3σ (goodwill and intangibles are ~58% of assets), and DSO is +1.7 to +2.4σ because January is the annual billing peak. Liquidity is structurally thin (current ratio 0.8×, −1.6σ in FY26) because unearned revenue sits in current liabilities. Every valuation multiple except FY24 P/E sat below the peer mean, and the discount widened in FY26 (EV/Sales −1.3σ, P/FCF −1.4σ).
- **Quarter-over-quarter:** revenue $10.24bn (Q2 FY26) → $10.26bn → $11.20bn → $11.13bn → **$11.35bn** (Q2 FY27, +10.8% YoY, incl. $456m from Informatica). cRPO growth went from 11% to 16% (Q4, Informatica) to 14%. Non-GAAP operating margin held at 34–35%; GAAP margin was 20.5%. Agentforce ARR went from $440m to >$1.5bn, and Agentforce + Data 360 ARR from $1.2bn to ~$3.9bn (incl. ~$1.1bn of Informatica Cloud; company-stated +210%). The balance sheet changed in Q1 FY27: ~$25bn of new debt funded a $25bn ASR, long-term debt rose from $10.4bn to $39.3bn, equity fell from $59.1bn to $34.2bn, and Q2 interest expense was $473m. Q3 FY27 results are expected around **2 Dec 2026** (estimated; not yet confirmed).
- **Total addressable market:** Gartner's CRM market was $128bn in 2024 (~$145bn in 2025, derived) and could reach ~$250bn by 2029. Adding integration, analytics, data management and collaboration gives a serviceable market of ~$229bn growing ~14%, of which Salesforce holds ~17%. Salesforce is still the CRM leader (IDC 20.0% in 2025), but its share has slipped ~1pt a year from 23.8% in 2021, as 'others' (ServiceNow, HubSpot, CCaaS and AI-native vendors) rose from 57% to 65%. AI agents and assistants are only a $29bn market in 2026 (Gartner). The opportunity is to

re-price existing CRM spend, and the risk is that agentic tools capture it: Gartner sees $234bn of application spend exposed to 'agentic arbitrage' by 2030.

- **Patents and IP:** Salesforce is a mid-tier patentee. US grants peaked at 646 in 2023 (#63) and fell to 404 in 2025 (#112, Harrity), ~38% below peak. It has never made the IFI Top 50 and ranks #38 in AI patents (124 in 2025), far behind Alphabet (1,057), IBM and Microsoft. The moat is not patents. It is customer data and metadata on a multi-tenant platform, the AppExchange and admin ecosystem, and switching costs. The main IP risk is the xGen authors' copyright class action (trial-ready June 2028).
- **Geopolitical and structural risk:** the main risk is structural, not geopolitical: whether AI agents shrink the seat base faster than Agentforce consumption replaces it. Geopolitical exposure is mainly Europe (25% of revenue), through the EU–US Data Privacy Framework appeal, the proposed Cloud and AI Development Act (sovereign cloud), the Data Act's ban on switching fees from Jan 2027 and US–EU digital-tax retaliation. China is minimal and Russia exited. The 2025 ShinyHunters campaigns made Salesforce's ecosystem a prime cyber target. Our four-scenario overlay cuts value by 4% on 12-month odds and 11% on 5-year odds.
- **Lawsuits:** the filings name only the Slack IPO and Backpage cases and give no accruals or loss ranges. The largest open risk is not named in them: the consolidated customer security-incident class action (N.D. Cal.), where the court **largely denied the motion to dismiss on 14 Sep 2026**. Backpage suits have grown to ~390 plaintiffs; the xGen copyright case is in discovery; unrecognised tax benefits are $2.64bn (reserved). The Dutch GDPR collective (headline €10bn) was set back by the Hoge Raad in Aug 2026.
- **Wall Street vs PRISM:** 40 of 56 analysts rate it Buy (StockAnalysis), with an average target of $286 (+19%); Morningstar is at $280 (Narrow moat, cut from $325/Wide). BofA double-upgraded to Buy ($285) on 12 Oct. Our central ($290) is 1.4% above the Street average. We agree on FY27 revenue ($46.3bn) and on a modest re-rating to ~17.8× FY28 EPS. Where we differ is quality: we strip the Anthropic gains from FY27 EPS and weight the seat-compression tail.
- **Financial-statement health (Addendum):** strong operating engine, weaker balance sheet. FY23–26 revenue grew from $31.4bn to $41.5bn and GAAP operating income from $1.9bn to $8.9bn (margin 5.9% → 21.5%). FCF more than doubled from $6.3bn to $14.4bn on capex of only ~1.5% of revenue. The FY24 cost reset did the heavy lifting. In FY27 Salesforce levered up to shrink its share count: debt ex-leases is

~$39bn, net debt/EBITDA ~2.3×, and OCF growth is guided to only 4–5%. Liquidity is adequate but structurally thin (current ratio 0.8×).

Confidence: MODERATE

WORKING PAPER

1 · What is driving Salesforce

Salesforce sells subscriptions to its CRM clouds. In FY26 (to Jan 2026) revenue was $41.5bn (+10%; 9% in constant currency), of which subscription and support was $39.4bn. By cloud: **Sales** $9.0bn (+8%), **Service** $9.8bn (+8%), **Platform, Slack & Other** $8.9bn (+23%, including Informatica from 18 Nov 2025), **Integration & Analytics** (MuleSoft, Tableau) $6.2bn (+8%) and **Marketing & Commerce** $5.4bn (+3%). From FY27 it reports two lines: **Agentforce Apps** ($7.2bn in Q2 FY27, +8% cc) and **Data 360, Headless Platform & Other** ($3.6bn, +20% cc, incl. Informatica). **The AI layer:** Agentforce ARR is above $1.5bn (+240%; the definition now includes Slackbot and Headless 360) and Agentforce plus Data 360 ARR is ~$3.9bn (+210%), against ~$46bn of revenue. Pricing is shifting from seats to 'flex credits' and per-resolution fees. **Leading indicators:** cRPO of $33.5bn (+14%) and net new AOV growth at a four-year high point to H2 FY27 organic re-acceleration. Organic growth was only ~6–7% in Q2 FY27 (derived), and the FY30 target ($63bn+) needs ~11% a year. **Profitability:** non-GAAP operating margin of ~34% gives a 'profitable-growth' score (S&S cc growth + non-GAAP margin) of 45 in Q2 FY27, against the '50 by FY30' target. **Capital:** a $50bn buyback authorisation, a $25bn debt-funded ASR (≥14% of shares), Informatica (~$8bn net), and Contentful (~$1.5bn) and Fin (~$3.6bn), both reported closed in September.

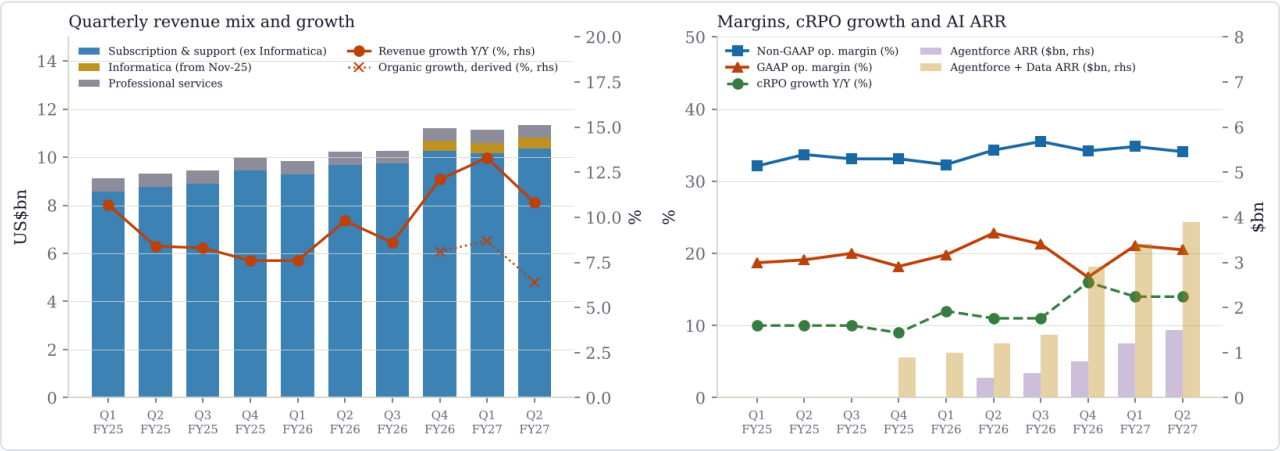


Fig. 1. The leading indicators: revenue mix and growth, margins, cRPO growth and AI ARR, Q1 FY25 → Q2 FY27 (company releases).

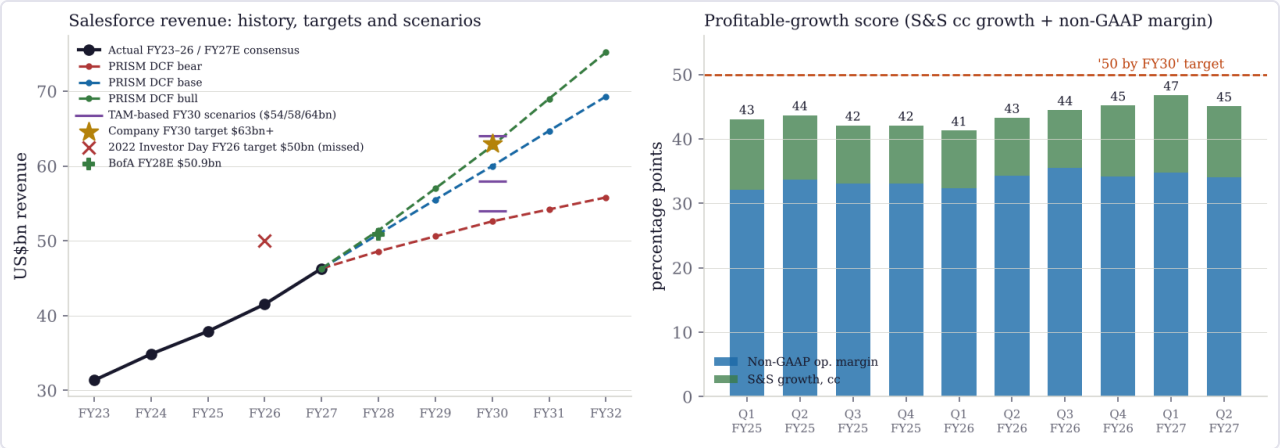


Fig. 2. Left: revenue history, company targets (the missed FY26 $50bn and the FY30 $63bn+), PRISM DCF paths and TAM-based FY30 scenarios. Right: the 'profitable-growth' score (subscription & support growth in constant currency plus non-GAAP operating margin) against the '50 by FY30' target.

2 · Where Salesforce trades vs. peers

The peer set is 11 companies in three lenses: **mega-cap software** (Microsoft, Oracle, SAP), **enterprise applications** (ServiceNow, Workday, Adobe, Intuit, Autodesk) and **growth SaaS** (HubSpot, Snowflake, Atlassian). Application software de-rated hard in 2026: Adobe trades at 8.9× forward EPS, Intuit at 12.1× and Workday at 14.4×, so the enterprise-apps lens (14.4×) is the toughest comparison and mega-cap software (22.3×) the most generous. Salesforce sits between them. TTM runs to Q2 FY27 (Jul 2026); trailing P/E excludes gains on strategic investments at a 21% tax rate.

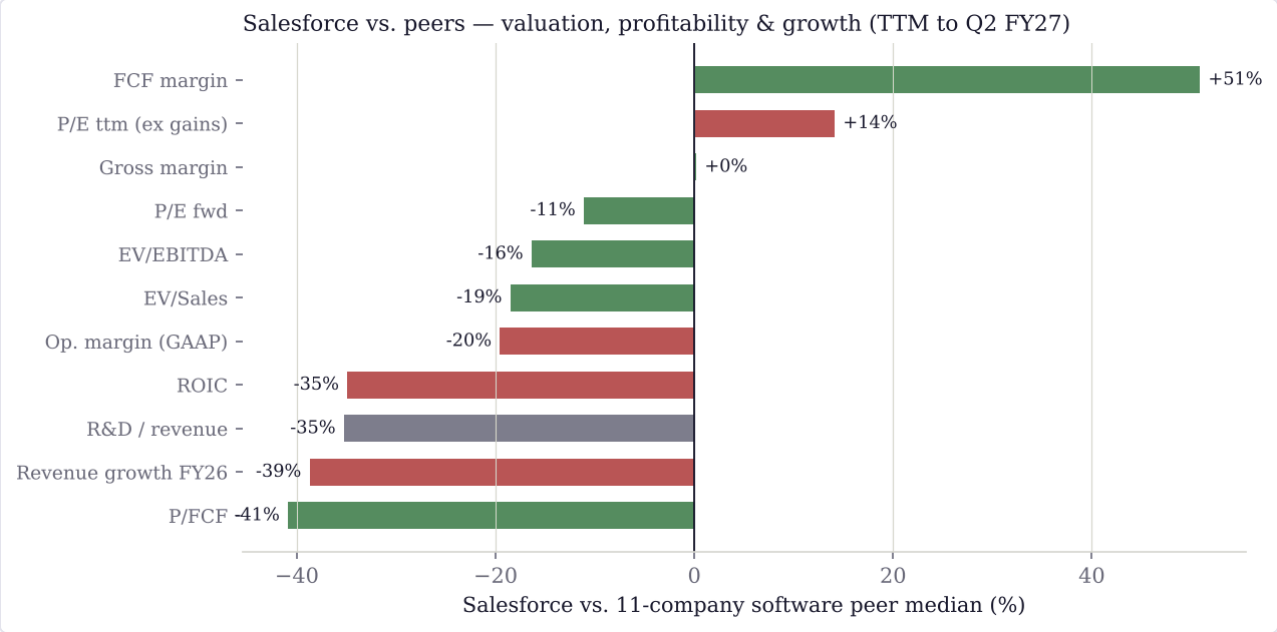


Fig. 3. Salesforce vs. the peer median. Red = richer multiple or weaker metric; green = cheaper or stronger; grey = descriptive.

Metric	Salesforce	Peer median	Read
P/E trailing, ex strategic-investment gains (TTM to Q2 FY27)	34.7	30.4	+14% richer
P/E forward (FY28 consensus EPS)	15.0	16.9	-11% cheaper
EV/EBITDA (TTM)	17.1	20.4	-16% cheaper
EV/EBIT (TTM)	24.2	24.0	in line
EV/Sales (TTM)	5.20	6.38	-19% cheaper
P/FCF (TTM)	13.1	22.1	-41% cheaper
Gross margin, FY26 %	77.7	77.5	in line
Operating margin (GAAP), TTM %	21.5	26.8	-20% lower
FCF margin, TTM %	34.5	22.9	+51% higher
ROIC, FY26 %	11.2	17.1	-35% lower
Revenue growth, FY26 %	9.6	15.6	-39% lower
R&D / revenue, FY26 %	14.4	22.3	-35% (descriptive)

Dividend yield, TTM %	0.72	1.39	-48% lower
Net debt/EBITDA (TTM, post-ASR)	2.27	0.03	net debt after the debt-funded ASR (~1.4× if strategic investments are netted); peers ~zero

Table 1 — Salesforce vs. peer median (TTM; prices 16 Oct 2026). EV multiples use net debt excluding strategic investments ($30.3bn), the same basis as the peers; netting the $11.3bn of strategic investments (the $19bn basis used in the valuation bridge) would lower EV/EBITDA to ~16.2× and EV/Sales to ~4.9×.

Company	Lens	P/E fwd	EV/EBITDA	EV/Sales	P/FCF	Op. mgn %	ROIC %	ND/EBITDA	Div yld %
Salesforce ●	Subject	15.0	17.1	5.20	13.1	21.5	11.2	2.27	0.72
Microsoft	Mega-cap software	22.3	19.7	11.78	58.7	46.8	37.2	-0.10	0.69
Oracle	Mega-cap software	11.7	14.4	7.13	—	34.2	15.5	3.49	1.56
SAP	Mega-cap software	23.8	19.9	5.99	26.3	26.7	15.7	-0.10	1.25
ServiceNow	Enterprise applications	28.4	54.7	10.22	32.1	11.4	18.5	1.38	—
Workday	Enterprise applications	14.4	29.2	4.56	16.2	12.0	13.3	0.23	—
Adobe	Enterprise applications	8.9	9.9	3.81	9.2	35.7	59.3	0.11	—
Intuit	Enterprise applications	12.1	12.6	4.13	10.1	28.8	18.5	0.17	1.53
Autodesk	Enterprise applications	16.9	20.9	6.38	17.9	27.9	38.8	-0.19	—
HubSpot	Growth SaaS	13.7	35.3	3.01	17.4	3.9	1.2	-3.75	—
Snowflake	Growth SaaS	102.0	—	19.65	89.1	-22.8	-136.4	—	—
Atlassian	Growth SaaS	30.8	348.9	8.01	39.9	0.2	—	-0.04	—

Table 2 — the comp set (● = Salesforce). P/E fwd = yfinance next-fiscal-year consensus (FY28 for Salesforce). Lens forward-P/E medians: mega-cap software 22.3×, enterprise applications 14.4×, growth SaaS 30.8×.

3 · Fair value — six methods

Method	Inputs	Implied	vs $241
Peer-median forward P/E × FY28 EPS	16.9× × $16.02	$271	+13%

Enterprise-apps forward P/E × FY28 EPS	14.4× (ServiceNow, Workday, Adobe, Intuit, Autodesk)	$231	-4%
Peer-median EV/EBITDA × TTM EBITDA	20.4× × $13.4bn, less $19bn net debt	$309	+28%
Peer-median EV/Sales × TTM revenue	6.38× × $43.9bn, less $19bn net debt	$318	+32%
Peer-median P/FCF × TTM FCF	22.1× × $15.2bn (FCF before stock comp)	$407	+69%
DCF (FCFF, base case)	WACC 9.63%, g 3.5%, EBIT margin 24% → 29%	$249	+4%
PRISM central fair value (median of six)	**range $231–$407**	**$290**	**+20%**
12-month roll-forward (CoE less dividend yield)	+10.1%	$319	+33%
Policy/tail-weighted central (12m / 5y odds)	×0.959 / ×0.894	$278 / $259	+15% / +8%
Reference only: ROIC → EV/EBITDA regression	excluded: slope negative (R^2 0.21), so it cannot be read as 'fair value for the ROIC'	$446	+85%

Table 3 — implied CRM share price from each method (823m shares after the ASR's initial delivery; net debt $19bn = $41.7bn debt incl. leases − $11.4bn cash & marketable securities − $11.3bn strategic investments). The bridge credits strategic investments (incl. the Anthropic stake); the EV multiples in Section 2 do not, which is the conservative presentation.

Why the methods disagree. The anchors split on what kind of company Salesforce is. If it is a de-rated application vendor, the enterprise-apps forward P/E ($231) and our DCF ($249, which assumes growth fades from 10% to 7% and GAAP operating margin rises only to 29%) put fair value close to today's price. If it is valued like the median software peer, the forward P/E ($271), EV/EBITDA ($309) and EV/Sales ($318) anchors put it 12–32% higher. P/FCF ($407) is the most generous, because Salesforce's FCF margin (35%) is well above peers. That flatters it: FCF is before ~8% of revenue in stock comp and benefits from upfront annual billing. The median of the six is robust to that outlier: $290. We exclude the ROIC regression ($446) because in this peer set higher ROIC goes with *lower* EV/EBITDA (slope negative, R^2 0.21).

3a · DCF, sensitivity & reverse DCF

The DCF is an FCFF model: five years from an FY27E revenue base of $46.3bn (consensus, in line with guidance of $46.1–46.4bn). Base-case growth fades from 10% to 7% and the operating (GAAP EBIT, after stock comp) margin rises from 24% to 29%. Tax is 17%, capex 1.5% of

revenue and D&A falls from 7.5% to 5.5% as acquired intangibles amortise. Working capital is 2% of incremental revenue, with mid-year discounting and a value-driver terminal value (g 3.5%, RONIC 25%). WACC is 9.63%: cost of equity 10.78% (normalised rf 4.5% + β 1.26 × 5% ERP) and a 17% debt weight. Net debt of $19bn is deducted. The terminal value is ~71% of EV.

Case	Revenue growth	Operating margin	FY32 revenue	EV	TV share	Value/share	vs price
Bear	5%, 4%, 4%, 3%, 3%	22%, 22%, 21%, 21%, 20%	$56bn	$136bn	65%	**$142**	-41%
Base	10%, 9%, 8%, 8%, 7%	24%, 25.5%, 27%, 28%, 29%	$69bn	$224bn	71%	**$249**	+4%
Bull	11%, 11%, 10%, 10%, 9%	26%, 28%, 30%, 32%, 33%	$75bn	$271bn	73%	**$307**	+27%

Table 4 — DCF scenarios (revenue growth and operating-margin paths FY28–FY32).

Margin ↓ / WACC →	7.50%	8.50%	9.63% (base)	10.50%	11.50%
22%	$297	**$238**	$194	$170	$148
25%	$335	$268	$218	$191	$167
29%	$386	$308	**$251**	$219	$191
32%	$424	$338	$275	**$240**	$209
35%	$462	$369	$299	$261	**$228**

Table 5 — base-case value per share by terminal operating margin (rows) and WACC (columns). Shaded cells are within ±8% of today's price. Rows fix the margin from FY30, so the 29% row ($251 at base WACC) is the base path. For reference, FY27 guidance implies a 20.1% GAAP and 34.3% non-GAAP operating margin. Reverse DCF: at base margins and WACC, today's price needs ~7.7% annual revenue growth for FY28–32; on base growth it needs a WACC of ~9.8%.

3b · Historical multiples vs. the industry (FY2023–FY2026)

Salesforce traded **below** the peer median on EV/EBITDA and EV/Sales at every fiscal year-end from FY23 to FY26. P/E is distorted early: FY23 net income was only $0.2bn (P/E ~792×), and in FY24 the stock was above the median (66× vs 53×) as earnings recovered. By FY26 (Jan 2026) the stock had de-rated to 26.4× P/E, 16.3× EV/EBITDA and 4.9× EV/Sales, against peer medians of 47.7×, 27.0× and 9.7×. The discount is the market's charge for slower growth and AI-disruption risk.

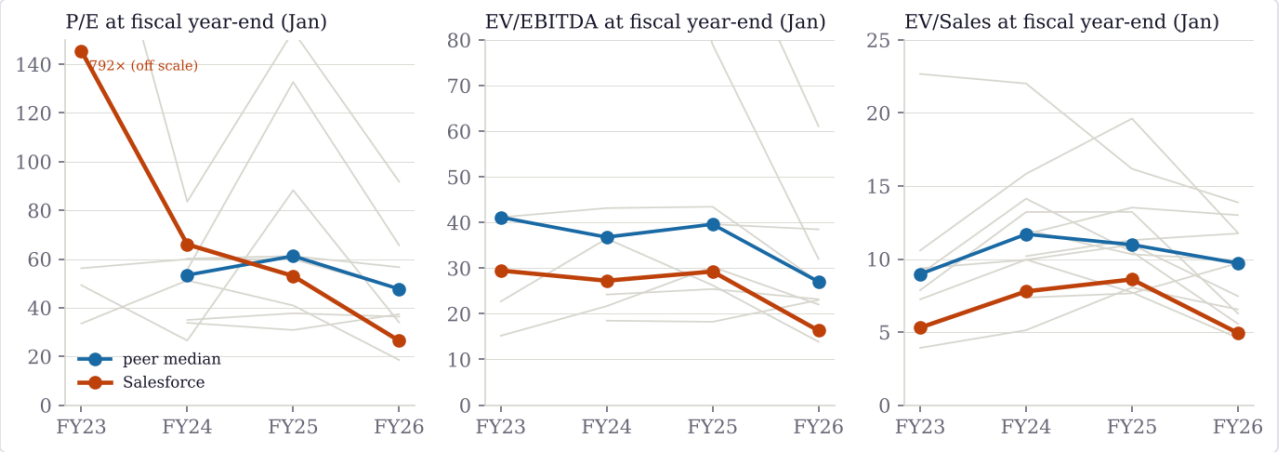


Fig. 4. Salesforce (orange) vs. peer median (blue) and each peer (grey), fiscal year-end multiples (Salesforce's year ends in January; FY23 P/E is off scale).

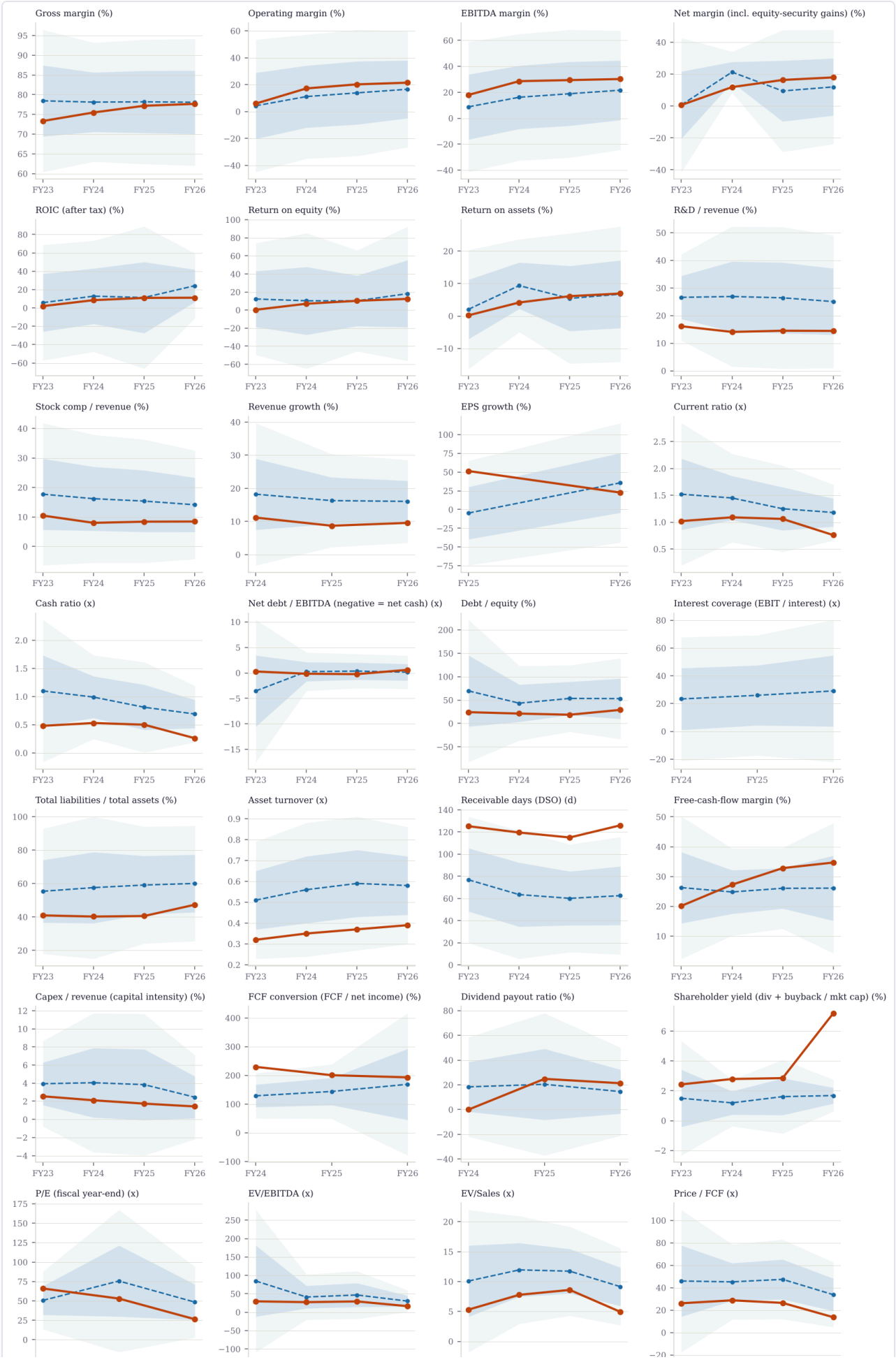
FY	CRM P/E	Peer P/E	CRM EV/EBITDA	Peer EV/EBITDA	CRM EV/Sales	Peer EV/Sales
FY23	792.2	—	29.5	41.1	5.31	8.97
FY24	66.0	53.4	27.2	36.8	7.78	11.70
FY25	53.0	61.2	29.3	39.6	8.61	10.98
FY26	26.4	47.7	16.3	27.0	4.93	9.71

Table 6 — Salesforce vs. peer-median multiples by fiscal year (FY23 peer P/E median not computed: too few peers with positive earnings after trimming).

4 · Critical financial ratios: four-year trend vs. the peer standard deviation

NEW

We track **29 ratios** in eight families (profitability, innovation, growth, liquidity, leverage & solvency, efficiency, cash flow & shareholder returns, valuation) for Salesforce and all 11 peers, FY2023–FY2026. For each ratio and year we compute the peer mean and sample standard deviation (σ) and Salesforce's **z-score = (Salesforce − peer mean)/σ**. Peers more than 5 robust-σ (MAD-based) from the median are excluded before σ is computed, provided at least 7 peers remain. Peer fiscal years are mapped to the calendar year in which most of the year falls, so Salesforce's FY26 (Feb 2025–Jan 2026) sits with calendar 2025. The peer set includes loss-making growth names (Snowflake, HubSpot, Atlassian), which widens σ on margins and returns.


Gross margin (%)
Operating margin (%)
EBITDA margin (%)
Net margin (incl. equity-security gains) (%)
ROIC (after tax) (%)
Return on equity (%)
Return on assets (%)
R&D / revenue (%)
Stock comp / revenue (%)
Revenue growth (%)
EPS growth (%)
Current ratio (x)
Cash ratio (x)
Net debt / EBITDA (negative = net cash) (x)
Debt / equity (%)
Interest coverage (EBIT / interest) (x)
Total liabilities / total assets (%)
Asset turnover (x)
Receivable days (DSO) (d)
Free-cash-flow margin (%)
Capex / revenue (capital intensity) (%)
FCF conversion (FCF / net income) (%)
Dividend payout ratio (%)
Shareholder yield (div + buyback / mkt cap) (%)
P/E (fiscal year-end) (x)
EV/EBITDA (x)
EV/Sales (x)
Price / FCF (x)
FY23
FY24
FY25
FY26

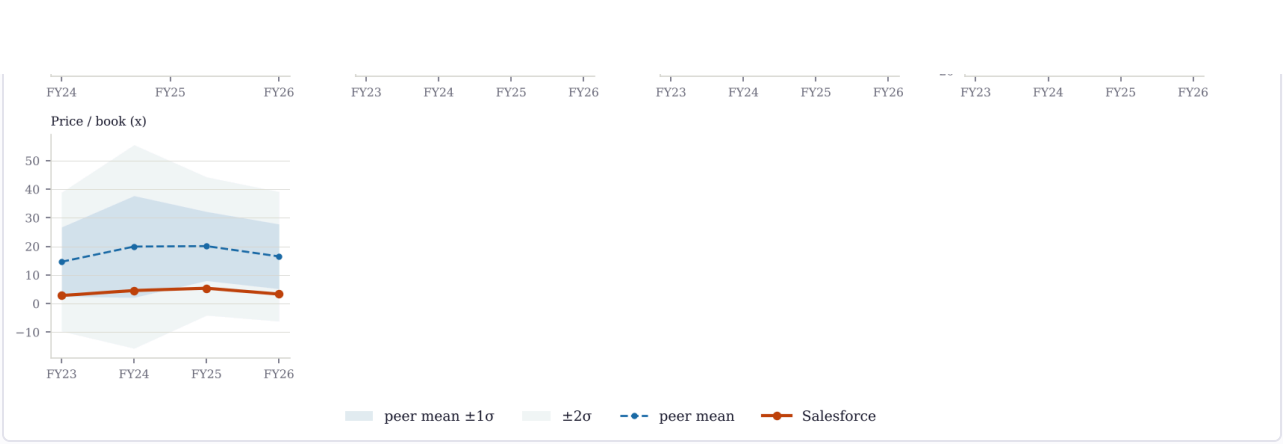


Fig. 5. Salesforce (orange) vs. peer mean (blue dashed) with ±1σ (dark) and ±2σ (light) bands, FY2023–FY2026.

Salesforce z-score vs. software peer distribution (gross outliers >5 robust σ trimmed)
green = better than peers, red = worse; grey = descriptive

	FY23	FY24	FY25	FY26
Gross margin	-0.6σ	-0.3σ	-0.1σ	-0.1σ
Operating margin	+0.1σ	+0.3σ	+0.3σ	+0.2σ
EBITDA margin	+0.4σ	+0.5σ	+0.4σ	+0.4σ
Net margin (incl. equity-security gains)	-0.0σ	-1.5σ	+0.4σ	+0.3σ
ROIC (after tax)	-0.1σ	-0.1σ	-0.0σ	-0.7σ
Return on equity	-0.4σ	-0.1σ	-0.0σ	-0.2σ
Return on assets	-0.2σ	-0.7σ	+0.1σ	+0.0σ
R&D / revenue	-1.3σ	-1.0σ	-0.9σ	-0.9σ
Stock comp / revenue	-0.6σ	-0.8σ	-0.7σ	-0.6σ
Revenue growth	—	-0.7σ	-1.1σ	-1.0σ
EPS growth	—	—	+1.6σ	-0.3σ
Current ratio	-0.8σ	-0.9σ	-0.5σ	-1.6σ
Cash ratio	-1.0σ	-1.2σ	-0.8σ	-1.7σ
Net debt / EBITDA (negative = net cash)	+0.6σ	-0.2σ	-0.4σ	+0.3σ
Debt / equity	-0.6σ	-0.6σ	-1.0σ	-0.6σ
Interest coverage (EBIT / interest)	—	—	—	—
Total liabilities / total assets	-0.8σ	-0.8σ	-1.1σ	-0.7σ
Asset turnover	-1.3σ	-1.3σ	-1.3σ	-1.4σ
Receivable days (DSO)	+1.7σ	+1.9σ	**+2.3σ**	**+2.4σ**
Free-cash-flow margin	-0.5σ	+0.3σ	+1.0σ	+0.8σ
Capex / revenue (capital intensity)	-0.6σ	-0.5σ	-0.5σ	-0.4σ
FCF conversion (FCF / net income)	—	**+2.6σ**	+1.2σ	+0.2σ
Dividend payout ratio	—	-0.9σ	+0.1σ	+0.4σ
Shareholder yield (div + buyback / mkt cap)	+0.5σ	**+2.1σ**	+1.0σ	**+10.3σ**
P/E (fiscal year-end)	—	+0.8σ	-0.5σ	-1.0σ
EV/EBITDA	-0.6σ	-0.5σ	-0.5σ	-0.9σ
EV/Sales	-0.8σ	-0.9σ	-0.8σ	-1.3σ
Price / FCF	-0.6σ	-1.0σ	-1.2σ	-1.4σ
Price / book	-1.0σ	-0.9σ	-1.2σ	-1.2σ

Fig. 6. Salesforce z-score heatmap, coloured so green always means better than peers.

What the four-year panel says.

- **Margins have caught up with peers, not overtaken them.** Gross margin converged from −0.6σ (73.3%, FY23) to the peer mean (77.7%, FY26). GAAP operating margin rose from 5.9% to 21.5% and EBITDA margin from 18% to 30%, but only +0.1 to +0.5σ, because σ is wide (~22pts) in this mixed peer set.
- **Returns lag.** ROIC rose from 2% to 11%, but against a trimmed FY26 peer mean of 24% it is −0.7σ. Asset turnover is −1.3 to −1.4σ every year: acquisitions (Slack, Tableau, MuleSoft, Informatica) left ~$65bn of goodwill and intangibles.
- **Growth is the weak family.** Revenue growth (11.2% / 8.7% / 9.6%) is −0.7 to −1.1σ. EPS growth was +1.6σ in FY25 (operating leverage after the FY24 cost reset) and −0.3σ in FY26.
- **Cash is the standout.** FCF margin went from 20% (−0.5σ) to 33–35% (+0.8 to +1.0σ). FCF conversion was 230% / 201% / 193% of net income. Capex is 1.4–2.5% of revenue, and stock comp fell from 10.5% to 8.4% of revenue (favourably −0.6 to −0.8σ).
- **Liquidity looks weak but is structural.** Current ratio 0.8–1.1× (−0.5 to −1.6σ) and cash ratio (−0.8 to −1.7σ) reflect unearned revenue, a liability that is settled in service, not cash. DSO of 115–126 days (+1.7 to +2.4σ) reflects the January billing peak at fiscal year-end, not slow collections.
- **Leverage was low until FY27.** Debt/equity (19–29%) and liabilities/assets (40–47%) were 0.6–1.1σ below peers through FY26. The FY27 ASR changes that (net debt/EBITDA ~2.3× TTM). Interest coverage is not computed because the feed lacks annual interest expense.
- **Shareholder returns jumped.** Shareholder yield went from 2.4% to 7.2% (FY26), a +10σ outlier against a tightly clustered peer group. Dividends began in FY25.
- **Valuation has been at a discount and the discount widened.** EV/EBITDA −0.5 to −1.0σ, EV/Sales −0.8 to −1.3σ, P/FCF −0.6 to −1.4σ and P/B −0.9 to −1.2σ; P/E went from +0.8σ (FY24) to −1.0σ (FY26).

Ratio	FY23 CRM / peer μ±σ	z	FY24 CRM / peer μ±σ	z	FY25 CRM / peer μ±σ	z	FY26 CRM / peer μ±σ	z
Profitability								
Gross margin (%)	**73.3** 78.5±9.0	-0.6σ	**75.5** 78.1±7.5	-0.3σ	**77.2** 78.2±7.9	-0.1σ	**77.7** 78.1±8.0	-0.1σ
Operating margin (%)	**5.9** 4.3±24.5	+0.1σ	**17.2** 11.2±23.0	+0.3σ	**20.2** 13.9±23.4	+0.3σ	**21.5** 16.6±21.5	+0.2σ
EBITDA margin (%)	**18.0** 8.8±25.0	+0.4σ	**28.6** 16.2±24.3	+0.5σ	**29.4** 18.9±24.6	+0.4σ	**30.2** 21.6±22.9	+0.4σ
Net margin (incl. equity-security gains) (%)	**0.7** 0.7±21.0	-0.0σ	**11.9** 21.3±6.4	-1.5σ	**16.4** 9.5±19.0	+0.4σ	**18.0** 12.0±17.9	+0.3σ
ROIC (after tax) (%)	**2.0** 5.8±31.4	-0.1σ	**8.5** 12.8±30.2	-0.1σ	**11.0** 11.4±38.6	-0.0σ	**11.2** 24.2±17.6	-0.7σ

Return on equity (%)	**0.4** 12.3±30.8	-0.4σ	**7.0** 10.3±37.5	-0.1σ	**10.3** 10.3±27.9	-0.0σ	**12.4** 18.2±37.1	-0.2σ
Return on assets (%)	**0.2** 2.1±9.1	-0.2σ	**4.2** 9.4±7.1	-0.7σ	**6.1** 5.4±10.0	+0.1σ	**6.9** 6.7±10.4	+0.0σ
Innovation								
R&D / revenue (%)	**16.1** 26.6±7.8	-1.3σ	**14.1** 26.9±12.7	-1.0σ	**14.5** 26.4±12.8	-0.9σ	**14.4** 25.1±12.0	-0.9σ
Stock comp / revenue (%)	**10.5** 17.7±12.0	-0.6σ	**8.0** 16.2±10.8	-0.8σ	**8.4** 15.4±10.4	-0.7σ	**8.4** 14.1±9.2	-0.6σ
Growth								
Revenue growth (%)	—	—	**11.2** 18.2±10.7	-0.7σ	**8.7** 16.3±7.0	-1.1σ	**9.6** 16.1±6.2	-1.0σ
EPS growth (%)	—	—	—	—	**51.4** -4.6±34.8	+1.6σ	**22.6** 35.6±39.7	-0.3σ
Liquidity								
Current ratio (x)	**1.02** 1.52±0.66	-0.8σ	**1.09** 1.45±0.41	-0.9σ	**1.06** 1.25±0.40	-0.5σ	**0.76** 1.18±0.26	-1.6σ
Cash ratio (x)	**0.48** 1.10±0.63	-1.0σ	**0.53** 0.99±0.37	-1.2σ	**0.50** 0.81±0.40	-0.8σ	**0.26** 0.69±0.25	-1.7σ
Leverage & solvency								
Net debt / EBITDA (negative = net cash) (x)	**0.28** -3.53±6.96	+0.6σ	**-0.16** 0.25±1.87	-0.2σ	**-0.24** 0.36±1.67	-0.4σ	**0.61** 0.14±1.62	+0.3σ
Debt / equity (%)	**24.1** 69.5±75.8	-0.6σ	**21.1** 43.3±39.7	-0.6σ	**18.6** 53.5±35.4	-1.0σ	**29.0** 53.0±43.0	-0.6σ
Interest coverage (EBIT / interest) (x)	—	—	—	—	—	—	—	—
Total liabilities / total assets (%)	**41.0** 55.4±18.7	-0.8σ	**40.2** 57.6±21.2	-0.8σ	**40.6** 59.1±17.4	-1.1σ	**47.3** 60.1±17.2	-0.7σ
Efficiency								
Asset turnover (x)	**0.32** 0.51±0.14	-1.3σ	**0.35** 0.56±0.16	-1.3σ	**0.37** 0.59±0.16	-1.3σ	**0.39** 0.58±0.14	-1.4σ
Receivable days (DSO) (d)	**125.2** 76.8±28.5	+1.7σ	**119.5** 63.5±28.9	+1.9σ	**115.0** 60.1±24.3	+2.3σ	**126.0** 62.5±26.4	+2.4σ
Cash flow & returns								
Free-cash-flow margin (%)	**20.1** 26.3±11.9	-0.5σ	**27.2** 24.8±7.3	+0.3σ	**32.8** 26.0±6.8	+1.0σ	**34.7** 26.1±10.9	+0.8σ
Capex / revenue (capital intensity) (%)	**2.5** 3.9±2.4	-0.6σ	**2.1** 4.0±3.8	-0.5σ	**1.7** 3.8±3.9	-0.5σ	**1.4** 2.5±2.3	-0.4σ
FCF conversion (FCF / net income) (%)	—	—	**229.6** 129.0±39.1	+2.6σ	**200.7** 144.0±47.3	+1.2σ	**193.1** 168.9±123.5	+0.2σ
Dividend payout ratio (%)	—	—	**-0.0** 18.4±20.1	-0.9σ	**24.8** 20.4±28.7	+0.1σ	**21.3** 14.5±17.8	+0.4σ

Shareholder yield (div + buyback / mkt cap) (%)	**2.4** 1.5±1.9	+0.5σ	**2.8** 1.2±0.8	+2.1σ	**2.9** 1.6±1.2	+1.0σ	**7.2** 1.7±0.5	+10.3σ
Valuation								
P/E (fiscal year-end) (x)	—	—	**65.99** 50.73±18.50	+0.8σ	**53.04** 75.65±45.67	-0.5σ	**26.45** 48.49±22.73	-1.0σ
EV/EBITDA (x)	**29.48** 84.73±96.38	-0.6σ	**27.25** 41.20±30.54	-0.5σ	**29.26** 46.74±32.25	-0.5σ	**16.32** 30.10±14.49	-0.9σ
EV/Sales (x)	**5.31** 10.09±5.93	-0.8σ	**7.78** 11.95±4.49	-0.9σ	**8.60** 11.73±3.71	-0.8σ	**4.93** 9.14±3.21	-1.3σ
Price / FCF (x)	**26.10** 45.96±31.63	-0.6σ	**28.74** 45.19±16.73	-1.0σ	**26.44** 47.43±17.70	-1.2σ	**13.69** 33.80±14.41	-1.4σ
Price / book (x)	**2.82** 14.63±12.12	-1.0σ	**4.58** 19.95±17.77	-0.9σ	**5.37** 20.11±12.07	-1.2σ	**3.33** 16.51±11.31	-1.2σ

Table 7 — the full ratio panel. Each cell shows Salesforce (bold) above the peer mean ± σ, with the z-score alongside (green = favourable at $|z|\geq 1$, red = unfavourable).

5 · Total addressable market (TAM) NEW

Market definitions differ widely, so we show three. **CRM:** Gartner (incl. contact centre and marketing) put it at $107.5bn in 2023 and $128bn in 2024; IDC's narrower definition implies ~$104bn (2024); Apps Run The World's narrower still ~$80bn. **Serviceable market:** mapping each Salesforce cloud to its Gartner segment gives ~$229bn for CY2025, growing ~14%, which compounds to ~$260bn in CY2026, about 10% below the $290bn+ TAM Salesforce claimed in 2022. The TAM was broadly right; Salesforce under-delivered on it (FY26 revenue $41.5bn vs a $50bn target). **AI:** AI agents and assistants are $29bn in 2026 and $66bn in 2027 (Gartner), and AI software $462bn in 2026. Gartner's 'agentic CRM' figure ($216bn by 2029) is mostly existing CRM spend relabelled.

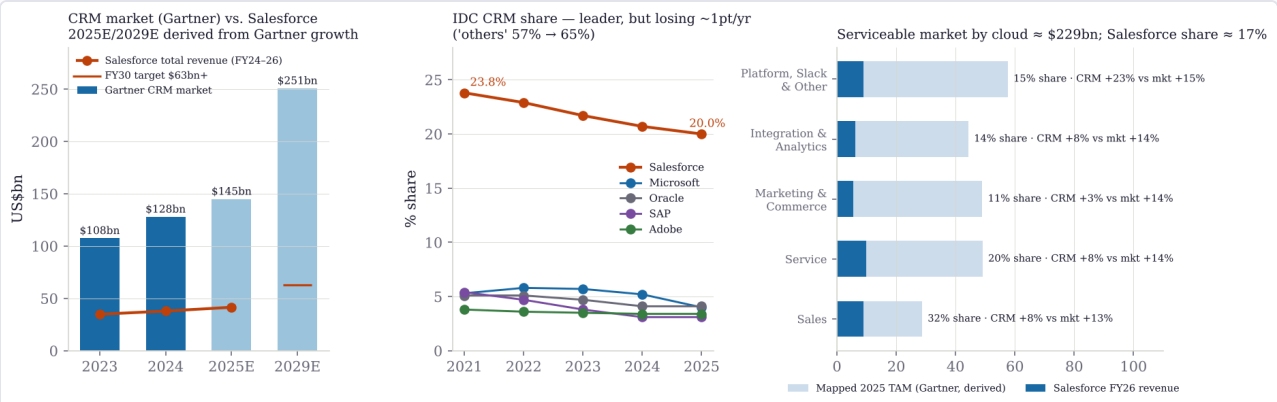


Fig. 7. Left: Gartner CRM market (2025E/2029E derived from Gartner growth rates) vs. Salesforce revenue. Centre: IDC CRM application share, 2021–2025. Right: FY26 revenue by cloud vs. the mapped 2025 serviceable market, with implied share and growth vs. market.

Market	Year	Size	Type	Source
CRM software (Gartner CX & Relationship Mgmt, end-user/vendor revenue)	2023	$108bn	actual	Gartner, Market Share: CX and Relationship Management, Worldwide, 2023
CRM software (Gartner CX & Relationship Mgmt)	2024	$128bn	actual	Gartner, Market Share: CX and Relationship Management, Worldwide, 2024
CRM software (Gartner CX & Relationship Mgmt)	2029	$251bn	derived	Derived: Gartner 2024 base ($128bn) x Gartner forecast 14.4% constant-
CRM applications (IDC, implied from Salesforce $21.6bn = 20.7% share)	2024	$104bn	derived	Derived from IDC Worldwide Semiannual Software Tracker via CX Today (S
CRM applications (IDC, implied)	2025	$118bn	derived	Derived (analyst assumption): Salesforce CRM revenue grown ~9% to ~$23
CRM software (Apps Run The World)	2024	$80bn	actual	Apps Run The World (+10.5% YoY)
CRM software (Apps Run The World)	2029	$106bn	forecast	Apps Run The World 2024-2029 forecast
Agentic AI-enabled CRM software spending	2029	$216bn	forecast	Gartner, Forecast Analysis: Agentic AI in CRM Software, 4Q25 (agentic
CRM sales software (Sales Cloud TAM)	2024	$26bn	actual	Gartner, Market Share Analysis: CRM Sales, Worldwide, 2024 (+12.2%, do
CRM sales software	2025	$29bn	forecast	Gartner, Forecast Analysis: CRM Sales Software, Worldwide (12.8% CAGR
CRM customer service & support software (Service Cloud TAM, incl. CCaaS/WEM)	2024	$43bn	actual	Gartner, Market Share Analysis: CRM Customer Service and Support, Worl
CRM marketing software (Marketing Cloud TAM)	2024	$29bn	actual	Gartner, Market Share Analysis: CRM Marketing and Cross-CRM Software,
iPaaS	2024	$8bn	actual	Gartner, Market Share Analysis: iPaaS, Worldwide, 2024 (+23.4%)
Analytic platforms (ABI + data science/AI platforms; Tableau TAM)	2024	$42bn	actual	Gartner, Market Share: Analytic Platforms, Worldwide, 2024 (+17.3%; da
Collaboration software (IDC; incl. video, team chat, email; Slack TAM)	2022	$34bn	actual	IDC via Computerworld (+14.6%)
Collaboration software (IDC)	2027	$72bn	forecast	IDC via Computerworld (CAGR derived from 2022-2027 endpoints)
AI software (Gartner)	2026	$462bn	forecast	Gartner (Sept 2026)
AI agents and assistants (cross-functional + consumer; Gartner)	2025	$16bn	actual	Gartner (Sept 2026)
AI agents and assistants (Gartner)	2026	$29bn	forecast	Gartner (Sept 2026)
AI agents and assistants (Gartner)	2027	$66bn	forecast	Gartner (Sept 2026)
Enterprise application spend exposed to 'agentic arbitrage' (risk, not TAM)	2030	$234bn	forecast	Gartner via Let's Data Science (~20% of enterprise SaaS spend)

Salesforce stated TAM (Investor Day 2022)	2026	$290bn	forecast	Salesforce Investor Day FY23 8-K: '$290B+' TAM, 13% CAGR CY22-CY26, ac
Salesforce-defined serviceable market (CRM + iPaaS + ABI + data mgmt ex-DBMS + colla	2024	$207bn	derived	Analyst sum: Gartner CRM $128bn + iPaaS $8.5bn + ABI ex-DS $30.2bn + d

Table 8 — market sizes (US$bn). 'Derived' values are analyst calculations from the cited sources. Sources in Appendix C.

Cloud	FY26 rev.	Growth	Mapped TAM	TAM 2025	TAM gr.	Share
Agentforce Sales (Sales Cloud)	$9.0bn	+8%	Gartner CRM sales software	$29bn	13%	32%
Agentforce Service (Service Cloud)	$9.8bn	+8%	Gartner CRM customer service & support (incl. CCaaS, WEM)	$49bn	14%	20%
Agentforce Marketing & Commerce	$5.4bn	+3%	Gartner CRM marketing ($32.9bn derived) + digital commerce ($16.1bn derived)	$49bn	14%	11%
Agentforce Integration & Analytics (MuleSoft, Tableau)	$6.2bn	+8%	Gartner iPaaS ($8.5bn 2024 → ~$10.3bn 2025 derived at ~21%) + ABI platforms ex data science ($30.2bn 2024 → ~$34bn 2025 derived at ~13%)	$44bn	14%	14%
Agentforce 360 Platform, Slack & Other (incl. Data 360, Informatica from Nov-2025)	$8.9bn	+23%	Collaboration (~$30bn 2025, ARTW/IDC midpoint) + data mgmt ex-DBMS (~$14.7bn derived) + AI app dev platforms ($6.9bn) + CDP (~$6bn) + model-driven/low	$58bn	15%	15%
Total subscription & support	$39.4bn	+10%	Sum of mapped serviceable TAMs	$229bn	14%	17%

Table 9 — cloud-to-TAM mapping (FY26, the last year with cloud-level disclosure). Implied shares divide Salesforce fiscal-year subscription revenue by calendar-year Gartner vendor revenue.

Metric	Value	Date
FY26 revenue target (set 2022 Investor Day, incl. Slack)	$50bn (17% CAGR from FY23); actual FY26 $41.5bn - missed by ~17%	2022-09-20
Total addressable market (2022 Investor Day)	$290bn+ by CY2026, 13% CAGR CY22-26	2022-09-20
FY30 revenue target (2025 Investor Day)	$60bn+ excluding Informatica; 10%+ organic CAGR FY26-FY30; 'Rule of 50' (S&S cc growth + non-GAAP op margin) by FY30	2025-10-15
FY30 revenue target (raised, incl. Informatica)	$63bn+; implied 11%+ CAGR FY26-FY30; reaffirmed at Investor Day Sept 2026	2026-02-25
FY27 revenue guidance	$46.1-46.4bn (+11-12% Y/Y; ~3pts Informatica; incl. ~$200m Contentful and Fin)	2026-08-26
FY26 revenue (actual)	$41.525bn (+10%); S&S $39.388bn; non-GAAP op margin 34.1%; FCF $14.4bn	2026-02-25

Agentforce ARR	>$1.5bn, +240% Y/Y (Q2 FY27; now includes Slackbot and Headless 360); $800m at Q4 FY26	2026-08-26
Agentforce + Data 360 ARR (incl. Informatica Cloud)	~$3.9bn, +210% Y/Y (Q2 FY27); >$2.9bn at Q4 FY26 incl. $1.1bn Informatica Cloud	2026-08-26
cRPO	$33.5bn, +14% cc (Q2 FY27); Q3 guide ~14% cc ex Contentful/Fin	2026-08-26
Digital labor TAM (CEO claim)	$3-12 trillion ('trillions, not billions')	2025-05-09
Investor Day 2026 market framing (citing Gartner)	$1.1tn incremental AI spend 2025-30; AI software/platform/agents 35% CAGR vs non-AI software 3%; AI 56% of software by 2030; software spend doubles by 2030	2026-09-16
Agentic ARR uplift per customer	Pre-agentic 1.2x, agentic 1.5-2x, 'agentic enterprise' 3-4x+; top 100 AWU customers >2x ARR in 18 months	2026-09-16
Premium edition upsell sizing	Each 1% of core CRM users moved to premium edition ~ $100m; ~5% of sales/service users upgraded so far; Alforce Max $550/user/month	2026-09-16
Accelerated share repurchase	$25bn ASR at expected ~$182/share, >=14% share count reduction (SEC slide; MarketBeat reports '>$40bn')	2026-09-16
Competitor: Microsoft 365 Copilot paid seats	20m (FQ3 FY26, up from 15m prior quarter)	2026-04-29
Competitor: ServiceNow AI ACV	>$1bn ACV (Q2 2026); subscription revenue $3.877bn +24.5%; AI specialists launched for CRM; target 30% of ACV from AI	2026-07-22
Competitor: HubSpot	Q2 2026 revenue +20% (17% cc); 306k customers; NRR 102%; FY26 guide $3.678-3.686bn; outcome-based agent pricing	2026-08-05
Competitor/partner: Anthropic and OpenAI run-rate revenue	Anthropic >$65bn run-rate (end-Jul 2026, from ~$9bn end-2025); OpenAI >$40bn (Bloomberg)	2026-08-18

Table 10 — company-stated targets and competitor markers.

TAM read-through to valuation. Salesforce is growing at roughly half its market's rate in every cloud except Platform (which includes Informatica). Sales and Service each lose ~1pt of share a year, and Marketing & Commerce grew only 3% against a ~14% market. TAM-based FY30 revenue scenarios (analyst, not company; CAGRs measured FY27E–FY30 from $46.3bn): **bear** ~$54bn (5.5% CAGR; seat pressure offsets agent revenue); **base** ~$58bn (8%; short of the $63bn+ target unless M&A fills the gap); **bull** $63–65bn (11%+; consumption and premium editions scale, plus tuck-ins). Our DCF base reaches $60bn in FY30 and the bull $63bn, so the company target sits at our bull case. Today's price (reverse DCF ~7.7% growth) needs only the TAM base case.

6 · Patents & intellectual property NEW

Salesforce's competitive position does not rest on patents. It is a mid-tier, US-centric patentee (~89% of filings at the USPTO) with an estimated ~4,000 active families (range 3,500–4,500; the 10-K gives no count). Its moat is customer data and metadata on a multi-tenant platform, the

AppExchange, ISV and admin/developer ecosystem built on proprietary Apex, metadata and Lightning, and the switching costs of customised workflows, integrations and multi-year contracts, protected mainly by trade secrets and contracts.

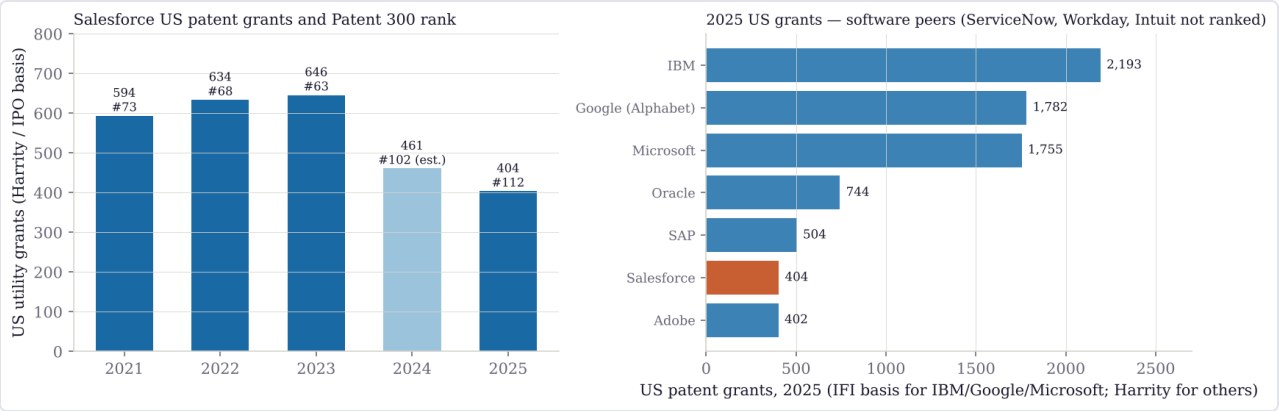


Fig. 8. Left: Salesforce US patent grants and Patent 300 rank, 2021–2025 (2024 rank estimated). Right: 2025 US grants for software peers.

Year	US grants	Rank	Rank source
2021	594	#73	IPO/Harrity Top 300 (2021 grants); not in IFI Top 50 (cutoff 714)
2022	634	#68	IPO/Harrity Top 300 (2022 grants); not in IFI Top 50 (cutoff 648)
2023	646	#63	IPO/Harrity Top 300 (2023 grants); not in IFI Top 50 (cutoff 631)
2024	461	#102 (est.)	ESTIMATE (~#102) from the 2024 column of the Harrity 2026 Patent 300 report; not in IFI Top 50 (cutoff 652)
2025	404	#112	Harrity Patent 300 (2025 grants); not in IFI Top 50 (cutoff 649)

Table 11 — Salesforce patent statistics (IPO / Harrity Patent 300, parent-level incl. Tableau, Slack and MuleSoft). A USPTO/PatentsView cross-check gives 637 / 674 / 670 / 465 / 332 (2025 likely incomplete).

- **Peers (2025 US grants):** IBM 2,193 (IFI; 2,467 Harrity), Alphabet 1,782 (IFI; 2,249 Harrity), Microsoft 1,755 (IFI; 1,816 Harrity), Oracle 744, SAP 504, **Salesforce 404 (#112)**, Adobe 402. ServiceNow, Workday and Intuit are below the Patent 300 cutoff (fewer than 146 grants each).
- **AI:** #38 in Harrity's AI Patent 100 (124 US AI grants in 2025, up from 106 in 2024 but below 182 in 2023), against Alphabet 1,057, IBM 840, Microsoft 617, Adobe 268, Oracle 199 and SAP 131. Recent grants cover generative-AI output validation and retrieval-grounded agents; no public patent is tied to the Atlas reasoning engine behind Agentforce.
- **Posture:** defensive. The portfolio is deterrence and cross-licensing currency against non-practising entities, and software-application claims are fragile under §101 (Salesforce's Tableau won iCharts v. Tableau on eligibility).

Area	Evidence

AI patent ranking (Harrity AI Patent 100)	2025 grants: Salesforce #38 with 124 US AI patents, versus Alphabet #2 (1,057), IBM #3 (840), Microsoft #5 (617), Adobe #15 (268), Oracle #23 (199), SAP #35 (131) and Intuit #54 (91); ServiceNow and Workday are not listed.
Generative AI / LLM output validation and RAG	Recent grants include US 12,608,545 'Validating generative artificial intelligence output' (Apr 21, 2026), US 12,602,377 question answering with diverse knowledge sources (retrieval-grounded LLM, Apr 14, 2026), US 12,596,890 cross-lingual transfer learning via soft-prompt tuning (Apr 7, 2026) and US 12,591,562 indexing-tree-based AI conversation agent (Mar 31, 2026).
Agentic AI (Agentforce / Atlas reasoning engine)	Published application US 2025/0053793, 'orchestrating LLM-augmented autonomous agents': a controller observes context, selects an agent and maps its output to actions (reported Feb 24, 2025). Application US 2025/0284985 compares new prompts with earlier ones to reuse responses, with banned-phrase filtering (reported Sep 15, 2025).
Salesforce Research foundation models (CTRL, CodeGen, xGen)	CTRL, a 1.6B-parameter conditional transformer (Sep 11, 2019), was released openly with full pretrained weights on GitHub. xGen LLMs (June 2023) were also released openly and are the models at issue in the authors' copyright class action.
Multi-tenant platform, data access control and databases (core CRM / Data Cloud)	Databases are the largest sub-sector at ~12% of filings and grants, and 'digitalization' the largest theme at ~24% (Q2 2024). Recent grants include US 12,598,193 and 12,598,194 'Fine granularity control of data access and usage across multi-tenant systems' (Apr 7, 2026), US 12,598,161 on extending trust boundaries across cloud domains, and US 12,602,216 schema registry.
Acquired-unit technology (Slack, MuleSoft, Marketing Cloud, Tableau)	US 12,602,599 ranks messages in a group-based communication system with ML (Slack lineage). US 12,596,991 covers no-code generation of integration applications (MuleSoft-like).

Table 12 — technology areas and evidence of IP depth.

Dispute	Status	Exposure	Significance
In re Salesforce LLM Copyright Infringement Litigation (Tanzer et al. v. Salesforce; Alexander v. Salesforce) copyright / AI training (class action)	Open. Filed Oct 15, 2025 by authors represented by the Saveri Law Firm. Alexander related Nov 18, 2025; latest: 2026-03-16	ESTIMATE: tens to low hundreds of $M in a settlement scenario.	Low-to-moderate financial impact;
Applications in Internet Time LLC (AIT) v. Salesforce patent infringement (Force.com; US 7,356,482 and 8,484,111 'Integrated change management u	A long-running case with IPR/CBM history, including the RPX 'real party in interest' line of cases. On Mar 31, 2025 the court dismissed the suit after the Federal Circuit had revived it, holding AIT's patent-rights transfer was voided by an earlier transfer. AIT refiled on Aug 29, 2025; latest: 2025-09-05	Low.	Immaterial;
Western District of Texas NPE docket (Dialect, SynchroFi,	Dialect LLC (7:25-cv-00061; US 8,015,006, voice AI agents) was filed Feb 7, 2025 and voluntarily dismissed without	ESTIMATE: low single-digit $M	Immaterial individually.

VE Opening, Spriv v. Salesforce) patent infringement (non-practicing / acquired-patent entities)	prejudice Sep 17, 2025. Spriv LLC (1:25-cv-00354) was filed Mar 10, 2025. latest: 2025-11-20	each in nuisance-value settlements.	
Salesforce.com v. WSOU Investments (US 9,088,493; Marketing Cloud Journey Builder) patent (NPE; ex-Nokia portfolio) - appeal by Salesforce	Closed. Appeal docketed Dec 2, 2024 and voluntarily dismissed Jul 31, 2025, each side bearing its own costs (possible settlement; not confirmed). latest: 2025-07-31	Low / resolved.	Immaterial.
iCharts Inc. v. Tableau Software patent infringement (interactive online charts; three patents)	Tableau won judgment on the pleadings on Dec 12, 2024. The court found the claims lacked inventive concepts (an Alice/§101-type ruling) and that amendment would be futile. Appeal status not confirmed. latest: 2024-12-12	Nil (defence win).	Positive.
OptiMorphix v. Salesforce (ex-Citrix patent campaign) patent infringement (NPE; seven patents)	Unconfirmed. A PatSnap page titled 'OptiMorphix v. Salesforce seven-patent infringement suit' exists but its body was unavailable. OptiMorphix asserts former Citrix networking and streaming patents against Alphabet, Microsoft, F5, Broadcom, Amazon and others. latest: None	ESTIMATE: low (campaign pattern suggests settlement value).	Immaterial.
GA Telesis LLC & Constant Aviation LLC v. Salesforce.com trade secrets (DTSA/CUTSA), breach of contract and unfair competition; Salesforce as defen	Filed Apr 15, 2021. The customers allege Salesforce disclosed their confidential information to third parties without consent. Outcome not confirmed; latest: 2021-04-16	Low (ESTIMATE).	Immaterial.
Trade-secret enforcement by Salesforce against departing employees trade secrets (Salesforce as plaintiff)	No material public case found for 2021-2026. Historic analogue: Microsoft v. Miszewski (2011), where Microsoft sued an ex-GM who joined Salesforce. California's ban on noncompetes (B&P §16600) leaves Salesforce relying on NDAs and trade-secret law. latest: None	n/a	Talent outflow to AI-agent startups and rivals (e.g. Microsoft, ServiceNow, Sierra) is a soft-IP leakage risk that patents do not mitigate.
Microsoft v. Salesforce / Salesforce v. Microsoft (historic patent war)	Closed. Microsoft sued in May 2010 on nine patents; Salesforce countersued in June 2010; latest: 2011-08-04	Resolved.	The only major competitor-on-competitor patent fight in Salesforce's history.

patent infringement (competitor), settled with patent agreement			
Open-source posture (LWC, Apex, Salesforce Research releases) open-source / licensing posture (not a dispute)	The 10-K says Salesforce 'at times... make[s] select intellectual property broadly available at no or low cost' to promote standards and interoperability, support open source and attract developers. Lightning Web Components was open-sourced in 2019 (MIT) [unverified]. Apex and the metadata/runtime stay proprietary, and no Apex copyright enforcement is known. latest: 2026-03-02	Open-weight releases trained on contested datasets created the xGen copyright exposure above.	The posture favours ecosystem growth (developer pull to AppExchange) over exclusivity.
Trademarks: 'Agentforce', 'Einstein', 'Slack' trademark	No material trademark dispute identified (search budget exhausted before a dedicated search). 'Einstein' is a licensed name: Salesforce licenses Albert Einstein's name and likeness through the Hebrew University's agent, so the brand depends on a renewable licence [unverified]. 'Agentforce' (launched Sep 2024) is a coined mark with no known opposition. latest: None	Low (ESTIMATE).	Immaterial.

Table 13 — IP disputes and posture, current and precedent-setting. Sources in Appendix C.

IP assessment: neutral to slightly negative. Patent litigation is a chronic, low-cost docket of non-practising-entity suits, mainly in the Western District of Texas. Salesforce's win against Applications in Internet Time now stands. USPTO limits on inter partes review make that docket somewhat costlier. The real IP risk is **copyright over AI training**: authors allege Salesforce's xGen research models were trained on pirated books. Statutory damages run up to $150,000 per work, and Anthropic's $1.5bn settlement (~$3k per work) is the benchmark. Injunction risk to products is low because Agentforce relies mainly on third-party models. Strategically, a thinning AI patent position weakens Salesforce's hand if frontier-model vendors or Microsoft assert patents in agentic workflows.

7 · Geopolitical & structural risk NEW

For Salesforce the largest risk is **structural: AI disruption of the seat model**. The stock fell ~41% in H1 2026 on fears that agents from Anthropic, OpenAI and others shrink per-user licences; BofA reinstated at Underperform with a $160 target in May before double-upgrading to Buy in October. IDC expects pure seat-based pricing to be obsolete by 2028. Q2 FY27 evidence cuts against the bear case so far (cRPO +14%, attrition near record lows, 7 of the top 10 deals adding human users), but Salesforce's own cut of ~4,000 support roles shows the mechanism. **Geopolitics** is mostly about Europe (25% of revenue; ~39% billed outside the US): the CJEU appeal against the EU–US Data

Privacy Framework, the proposed Cloud and AI Development Act (sovereignty levels for public-sector cloud), the Data Act's ban on switching and egress fees from 12 Jan 2027, and US–EU retaliation over digital taxes and fines. China is minimal (an Alibaba partnership), Russia was exited, and there is R&D concentration in Israel. **Security** is the geopolitical tail: state-linked and criminal groups (ShinyHunters, UNC6040/UNC6395) targeted Salesforce customer instances throughout 2025–26.

Item	Status	Likelihood	Magnitude	Direction
$100k H-1B fee: blocked by courts; small direct cost for Salesforce Geopolitical & security · latest 2026-10-07	A Sep 2025 proclamation imposed a $100,000 fee on certain new H-1B petitions for workers outside the US. A Massachusetts federal court ruled it unlawful (8 Jun 2026).	Analyst judgement: 30-40% that the fee is ultimately reinstated in some form.	Immaterial. USCIS data (via NFAP) show Salesforce had 134 approved initial-employment H-1B petitions and 1,405 continuing-employment approvals in FY2025, and 1,798 certified LCAs.	Negative
Country exposure: China minimal, Russia exited, Israel R&D concentration Geopolitical & security · latest 2026-03	China: Salesforce sells through an Alibaba partnership (since 2019) and closed its Hong Kong office in 2022. No country other than the US is more than 10% of revenue.	Low probability of material disruption.	China and Russia revenue is de minimis (analyst judgement: <0.5% combined). Israel is about 1% of headcount.	Mixed

Cybersecurity: the Salesforce ecosystem is a prime target (ShinyHunters/UNC6040/UNC6395 campaigns; possible state-linked escalation) Geopolitical & security · latest 2026-07-16	Since mid-2025 there has been a run of incidents. Vishing of fake 'Data Loader' apps hit Google, Qantas, Allianz Life, LVMH brands and others.	High that third-party, OAuth and misconfiguration incidents continue.	To date: litigation and remediation costs that have not been disclosed as material, and no visible effect on attrition (near record low per Q2 FY27). Cyentia's extreme-loss estimates for $10-100bn and $100bn+ firms are about $259-269m.	Negative
'AI agents replace seats': seat compression and the move to consumption and outcome pricing Structural / AI disruption · latest 2026-08-26	CRM fell 40.9% in H1 2026 (the 'SaaSpocalypse') on fears that agents from Anthropic, OpenAI and others shrink per-seat licences. BofA reinstated coverage at Underperform with a $160 target (18 May 2026), calling it an 'AI-driven structural reset' and modelling about 10% growth.	High that the pricing mix shifts.	Subscription and support is about 95% of revenue ($39.4bn in FY26), mostly seat-based. Agentforce plus Data 360 ARR is about 8.4% of FY27 revenue guidance.	Negative
Labour-market effects on seat counts (white-collar hiring, AI-driven headcount cuts) Structural / AI disruption · latest 2026-05-28	Seat-based CRM revenue tracks customers' sales, service and marketing headcount. Customers are scrutinising seat counts at renewal: UK procurement teams 'question seat counts while also evaluating Agentforce' (May 2026).	Medium.	Analyst judgement: list-price increases (5-10% on core clouds) and upsell to higher editions offset roughly 1-2pts a year of seat-volume decline. Only about 5% of Sales and Service users have moved to premium editions, which carry a 60-80% premium.	Negative

Table 14 — structural and security/geopolitical items. Likelihood and magnitude as assessed by the research agent from cited sources.

Published probability estimates.

- **(a) AI-agent disruption collapses seat-based pricing:** IDC FutureScape: Agentic AI 2026 Predictions (pricing-model shift, not a revenue — 'By 2028, pure seat-based pricing will be obsolete'; about 70% of vendors will rework pricing around consumption or outcomes; BofA (Tal Liani), Underperform reinstatement 18 May 2026 (bear-ish base case, no — $160 price target; 'structural reset' to about 10% growth and a mature cash generator; Market-implied (TIKR, Jun 2026) — About 12x forward P/E against a consensus mean target of about $254; the stock was down 33-41% in H1 2026, which implies the market prices a material probability of struc; Analyst judgement (this report) — 15-20% over 3 years for a disorderly collapse (net seat revenue falling more than 10% and agent revenue failing to offset it); about 50% for an orderly mix shift
- **(b) Severe state-linked cyber breach and regulatory backlash:** Cyentia IRIS 2025 (base rate, all firms) — 9.3% annual probability that a typical firm has a significant security incident; extreme-loss estimates of about $259-269m for $10bn+ revenue tiers; Cloud Security Alliance (Jul 2026), observed frequency for the Salesforce ecosys — At least 4 major ecosystem campaigns in 12 months (Drift >700 orgs, Gainsight 200+, Aura 300-400 claimed, Klue 195); no state sponsor attributed yet; Analyst judgement (this report) — 3-5% a year for a core-platform (not customer-misconfiguration) breach attributed to a state-linked actor, leading to regulatory action in the EU or US
- **(c) EU sovereignty / AI-regulation shock or US-EU trade war over digital:** Gartner (Nader Henein) via IT Pro, Jul 2023 — EU-US DPF 'likely to face legal action and be overturned' within 2-5 years (i.e. by about 2025-2028); US administration action (ProPakistani / ITIF, Jul 2026) — Section 301 investigation into EU digital practices announced after the EUR890m Google DMA fine; 100% tariff threat on DST countries (Jun 2026). Escalation has started; n; European Commission CADA proposal (Covington, Jun 2026) — Formal proposal for EU-ownership (Level 3/4) requirements in critical public-sector cloud; in trilogue; Analyst judgement (this report) — 20-30% over 18 months for a combined shock: US digital tariffs, EU countermeasures against US digital services, and either DPF invalidation or a strict CADA. 30-40% that

Scenario	P (12m)	P (5y)	Value hit	US$/share
Status quo / orderly shift to consumption pricing	76%	50%	+0%	$290
AI agents collapse seat-based pricing (disorderly)	6%	18%	-40%	$174
Severe state-linked platform breach + regulatory backlash	4%	12%	-15%	$246
EU sovereignty / AI-regulation shock or US–EU digital trade war	14%	20%	-8%	$267
Probability-weighted value	**12m ×0.959 · 5y ×0.894**		**—**	**$278 / $259**

Table 15 — PRISM scenario overlay on the central value ($290). Probabilities and value hits are analyst judgement. AI seat collapse: 6% (12m) / 18% (5y), −40%, consistent with BofA's May 'structural reset' target ($160) and the agent's 15–20% over three years for a disorderly collapse. State-linked core-platform breach: 4% / 12%, −15%, from a 3–5% annual estimate (Cyentia's 9.3% all-firm base rate is for any significant incident). EU sovereignty or US–EU digital trade shock: 14% / 20%, −8%; the agent's 20–30% over 18 months is scaled down because the CJEU appeal and CADA trilogue are unlikely to conclude within a year.

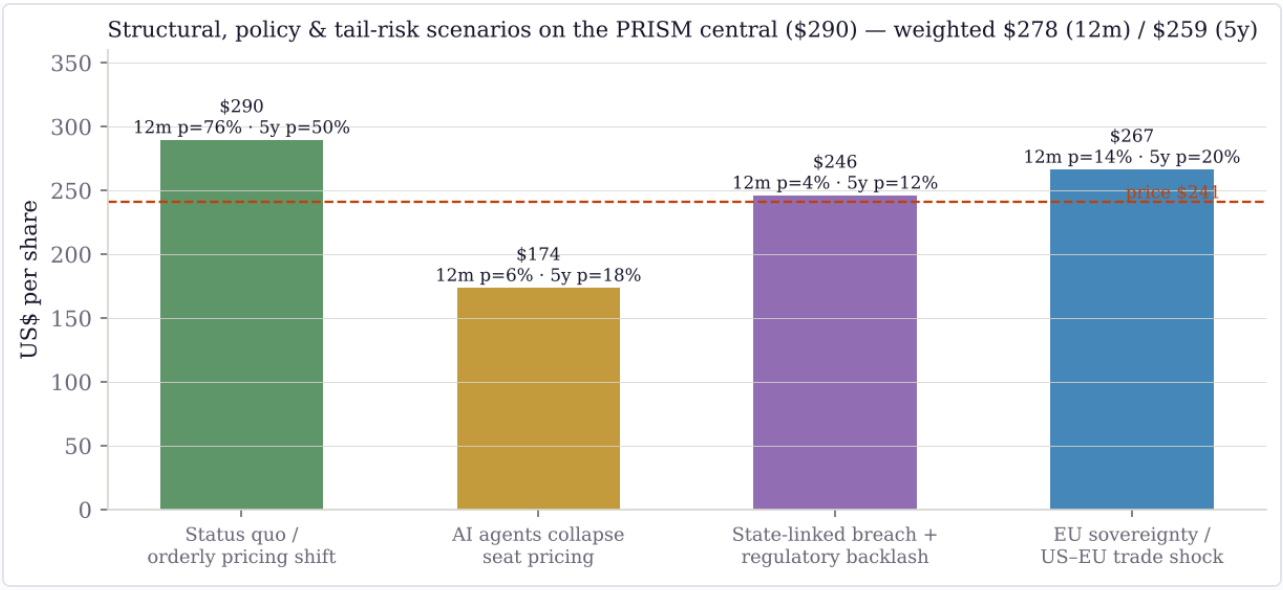


Fig. 9. Scenario values per share and probability-weighted outcomes vs. the share price.

How much tail risk is in the price? A fair amount. At 15.0× forward EPS Salesforce trades ~33% below mega-cap software and only slightly above the de-rated enterprise-apps group, and the reverse DCF needs just ~7.7% growth. Our overlay takes 4% off on 12-month odds and 11% off on 5-year odds, which still leaves the weighted value ($278 / $259) above the price. The seat-collapse scenario ($174) is the one that matters. It is below today's price but above the July intraday low (~$146; close $150).

8 · Headwinds

Seat compression: if AI agents do the work of service and sales reps, customers buy fewer per-user licences. Salesforce itself cut ~4,000 support roles with AI, and Service Cloud is the most exposed cloud. **Thin organic growth:** Informatica added ~4.5pts in Q2 FY27 (~3pts for FY27 as guided), so underlying growth is ~6–7%, half the ~14% rate of the serviceable market. Marketing & Commerce is losing share outright. **Leverage and cash:** the ASR debt costs ~$0.5bn a quarter in interest; OCF growth was cut from 9–10% to 4–5% for FY27, and roughly 190% of FY27 FCF is being returned. **Earnings quality:** FY27 non-GAAP EPS guidance ($16.67–16.71) includes ~$2.6bn of gains on strategic investments (mostly Anthropic), which are mark-to-market and can reverse. **Security:** the 2025 OAuth-token and vishing campaigns against customers' Salesforce instances led to the consolidated class action and reputational risk, even though the core platform was not breached. **M&A dependence:** growth targets lean on acquisitions (Informatica, Contentful, Fin), with integration risk; goodwill and intangibles are now ~$65bn.

9 · Ongoing lawsuits & legal contingencies NEW

Salesforce's 10-K (FY26, Note 14) and Q2 FY27 10-Q (Note 12) describe only two named matters, the Slack direct-listing securities case and the Backpage sex-trafficking suits, and say management cannot estimate losses beyond amounts accrued, with no matter expected to be material. No accruals or ranges are given. **The largest open risk is not named in either filing**: the consolidated customer security-incident class action over the 2025 ShinyHunters OAuth-token thefts (N.D. Cal., Judge Corley). On 14 Sep 2026 the court largely denied Salesforce's motion to dismiss, so negligence, CCPA statutory-damages and state consumer-protection claims proceed. Backpage suits have grown to ~390 plaintiffs; Section 230 defences have failed in the 5th and 7th Circuits. The xGen copyright class action is in discovery (trial-ready June 2028). Tax: gross unrecognised tax benefits are $2.64bn plus $294m of accrued interest and penalties, already reserved.

Matter / forum	Status	Exposure & provision	Impact
In re Salesforce Customers Security Incident Litigation (2025 OAuth-token / ShinyHunters 'SLH' data theft, incl. Salesloft Drift-linked claims) US District Court, N.D. California, No. 3:25-cv-07232-JSC (Judge Jacqueline Scott Corley)	Open. JPML centralisation petition (MDL 3164) withdrawn Oct 2025. Parties stipulated to consolidate about 13 class actions in N.D. Cal. (order 9 Jan 2026; latest: 2026-09-14	Not quantified by the company. Provision: None disclosed.	High
ShinyHunters / Scattered LAPSUS$ Hunters extortion campaigns (Salesloft Drift, Gainsight, Experience Cloud 'Aura' guest-access) and related regulatory inquiries Multi-jurisdiction (US federal/state regulators, Korea PIPC, EU/UK DPAs); customer-level s	Ongoing threat-actor activity. Salesforce refused to negotiate or pay extortion demands (Oct 2025). It revoked Salesloft Drift (Aug/Sep 2025) and Gainsight (Nov 2025) tokens. latest: 2026-03-11	Unquantified. Provision: None disclosed.	Medium
Backpage sex-trafficking civil litigation (TVPRA / Texas Ch. 98 claims) N.D. Ill. (G.G. v. Salesforce, No. 1:20-cv-2335, plus 6 consolidated actions with 244 plai	Open and expanding: about 390 plaintiffs by our count from the 10-Q list, up sharply from the 10-K. Most federal actions are stayed under 18 U.S.C. s.1595(b) pending final adjudication of Backpage criminal proceedings (Lacey conviction appeal at 9th Cir.; possible retrial). latest: 2026-08-27	Unspecified damages, fees and costs sought (per company). Provision: No specific accrual disclosed.	Medium
In re Salesforce LLM Copyright Infringement Litigation (Tanzer et al. v. Salesforce: xGen/CodeGen training on Books3/RedPajama/The Pile) US District Court, N.D. California,	Open, in discovery. Filed Oct 2025 by authors Tanzer and Gilmore; consolidated with additional plaintiffs (Alexander, McGoran, Kleiner). latest: 2026-03-16	Putative class of US copyright holders whose works were used since Oct 2022. Provision: None disclosed.	Medium

Master File No. 3:25-cv-08862-CRB (Judge Charles R. Br			
Income tax uncertainties: unrecognised tax benefits and open audits (IRS, India, Germany, Israel, Australia) US (IRS; federal returns open since FY2008), India, Germany, Israel, Australia (added in Q	Ongoing examinations. Gross UTB of $2,639m at 31 Jan 2026 (up from $2,419m), of which $1.9bn would affect the effective tax rate if recognised. Interest and penalties accrued $294m (FY2025: $225m); latest: 2026-08-27	Up to about $2.6bn gross UTB plus $294m accrued interest and penalties, the theoretical maximum already reserved as a liability. Provision: Reserved: UTB liability recorded under ASC 740 (gross $2,639m;	Medium
Stichting The Privacy Collective v. Salesforce and Oracle (GDPR / Dutch Telecommunications Act collective action over ad-tech cookies) Netherlands: Amsterdam District Court, then Amsterdam Court of Appeal, then Hoge Raad (Sup	Open. Filed 2020 and initially dismissed; the Amsterdam Court of Appeal reversed on admissibility. latest: 2026-08-26	Headline claim up to EUR 10bn total (about EUR 5bn per defendant; Provision: None disclosed.	Low
Yockey v. Salesforce (Rite Aid website chat: CIPA s.631 / Pennsylvania WESCA wiretap class action) US District Court, N.D. California, No. 4:22-cv-09067-JST (Judge Jon S. Tigar)	Open on an individual basis. MTD granted in part (Aug 2023); CIPA and WESCA claims sustained (Aug 2024). latest: 2026-09-04	Low after the class certification denial. Provision: None disclosed.	Low
Illinois BIPA claims against Salesforce Illinois (state/federal)	Unverified. No pending BIPA suit naming Salesforce identified in filings or searches. The Illinois 2024 BIPA amendment (single-recovery per person) reduces per-scan damages exposure industry-wide. latest: 2026-10-17	None identified. Provision: None.	Low
In re Slack Technologies, Inc. Shareholder Litigation (Section 11 claims over 2019 direct listing) Superior Court of California, San Mateo County, Lead Case No. 19CIV05370. Federal companio	Federal action over: 9th Cir. ordered dismissal with prejudice (Feb 2025), cert denied (6 Oct 2025), judgment for defendants (10 Nov 2025). State action: stay lifted 7 Nov 2025 only for limited discovery and a renewed class certification motion. Given Slack v. Pirani (2023), the traceability requirement makes Section 11 recovery difficult. latest: 2025-11-10	Unspecified damages for direct-listing purchasers. Provision: None disclosed.	Low
Securities class actions and derivative suits against Salesforce (Agentforce statements, guidance,	No filed securities class action or derivative suit against Salesforce (as opposed to Slack) identified. Neither the 10-K nor the 10-Q discloses one.	None identified. Provision: None.	Low

M&A) US federal / Delaware	Plaintiff-firm 'investigations' followed the May 2024 Q1 FY2025 miss (BFA, Schall, Levi & Korsinsky; latest: 2026-08-27		
Slack's EU antitrust complaint against Microsoft (Teams tying), Case AT.40721 European Commission (DG COMP)	Closed. On 12 Sep 2025 the EC accepted Microsoft's commitments (Teams-less M365 suites at lower price for 7 years; interoperability and data-portability commitments for 10 years). latest: 2025-09-12	None. Provision: N/A	Low
Antitrust scrutiny of Salesforce's own conduct (e.g. Slack API terms restricting third-party AI indexing) EU / UK / US (potential)	Unverified. No formal investigation identified. In Jun 2025 Salesforce changed Slack API terms to bar third parties (e.g. Glean) from bulk-indexing or retaining Slack data. latest: 2025-06-12	None identified. Provision: None.	Low
Informatica acquisition: merger-control review and deal litigation Germany (Bundeskartellamt), US HSR and other jurisdictions; Delaware (Informatica stockhol	Closed. The Bundeskartellamt cleared the deal on 4 Aug 2025, finding rivals hold similar assets. The deal completed on 18 Nov 2025 at $25.00/share cash (about $9.6bn purchase consideration per the 10-K), financed partly by a $6.0bn term loan. latest: 2025-11-18	None identified. Provision: None.	Low
Employment litigation, WARN Act notices from restructuring, and H-1B/visa matters Various US federal courts; state WARN agencies; US DOL (Project Firewall)	Individual suits only: Lane v. Salesforce (S.D.N.Y. No. 1:25-cv-09707, filed 21 Nov 2025; age, gender, disability discrimination and retaliation) and John v. Salesforce (D. Conn. No. 3:26-cv-00636, filed 23 Apr 2026; latest: 2026-08-05	Individual suits immaterial. Provision: None disclosed beyond ordinary-course and restructuring accruals.	Low
ERISA 401(k) excessive-fee class actions (Davis/Miguel and Simonelli/Villareal v. Salesforce) US District Court, N.D. California (Judge Maxine M. Chesney); 9th Cir. had revived the cla	Settled. $1.35m settlement submitted for approval Aug 2024. Final approval presumed but not verified. latest: 2024-09-03	$1.35m (settled). Provision: Settlement amount (immaterial).	Low
Patent infringement suits (VE Opening; Applications in Internet Time; 'Integrated change management unit' patents) W.D. Tex. (VE Opening LLC v. Salesforce, No. 7:25-cv-00539); Federal Circuit	VE Opening ('079 patent): magistrate judge recommended (9 Jun 2026) dismissing claim 1 as ineligible and keeping claims 4-6. Open. Applications in Internet Time: Fed. Cir. denied en banc rehearing (Jun 2026), so Salesforce's win stands. latest: 2026-06-12	Typical NPE settlement range (low single-digit to tens of $m). Provision: None disclosed.	Low
Commercial and contract disputes Various	Unverified. No material pending contract suit identified. The filings refer generically to 'commercial' claims in the ordinary	None identified. Provision: None disclosed.	Low

course.
latest: 2026-08-27

Table 16 — legal matters (status as of 17 Oct 2026; impact is analyst judgement). Sources in Appendix C.

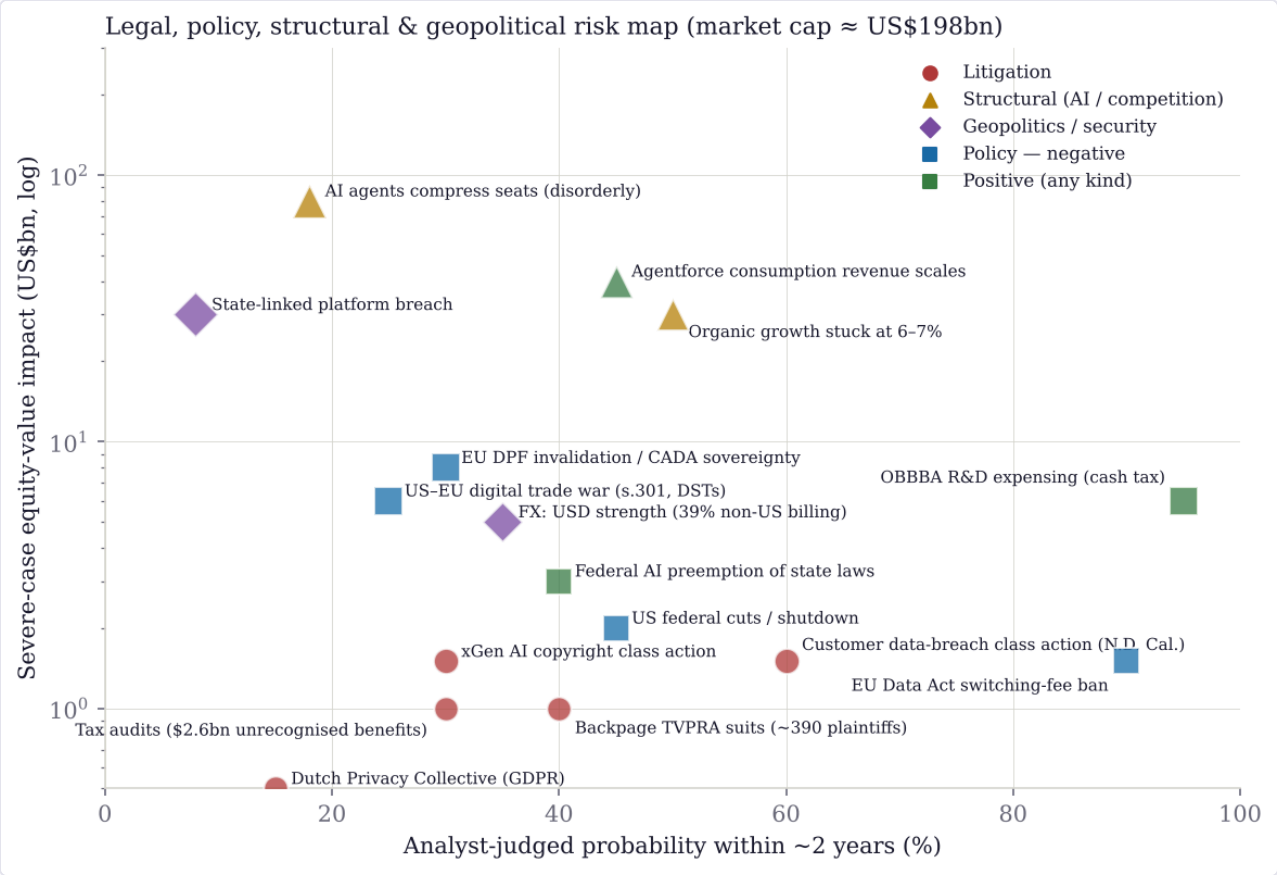


Fig. 10. Legal, policy, structural and geopolitical risk map: analyst-judged probability vs. severe-case equity-value impact (US$bn, log scale). Placements are judgement, not model outputs. Positive items (green) are plotted at the size of the potential tailwind.

10 · Government policy & regulatory shifts NEW

Regulation has turned friendlier on AI and tougher on data. **AI:** the EU AI Act's general-purpose model obligations are enforceable from Aug 2026, but the Digital Omnibus defers high-risk duties; in the US, the EO 14365 preemption push and Colorado's replacement of its AI Act with a narrower disclosure law reduce compliance risk. **Data:** the DPF appeal, CADA and the Data Act's switching rights (which make it cheaper for EU customers to leave) are the main pressure points; India's DPDP Rules phase in from Nov 2026. **Government spending:** DOGE licence rationalisation and the GSA OneGov deal (90% Slack discount to Nov 2025) cut federal pricing, while the US Army's $5.6bn-ceiling IDIQ is a new channel; the FY27 continuing resolution expires 11 Dec 2026. **Tax & trade:** the OBBBA's immediate R&D expensing and the OECD Pillar Two side-by-side safe harbour are tailwinds; digital-services-tax retaliation and indirect tariff effects on customer IT budgets are headwinds; FX matters with ~39% of revenue billed outside the US.

Policy	Status	Likelihood	Estimated effect	Direction
EU AI Act: GPAI enforcement live; high-risk obligations deferred by Digital Omnibus AI regulation · latest 2026-08-03	GPAI provider obligations apply since 2 Aug 2025. Commission (AI Office) enforcement powers and fines for GPAI providers apply from 2 Aug 2026.	Certain (in force).	Low direct cost. GPAI fines are up to 3% of worldwide turnover or EUR15m, but they fall on model providers (OpenAI, Anthropic and others whose models Salesforce uses), not mainly on Salesforce.	Mixed
US federal AI policy: EO 14365 preemption push against state AI laws AI regulation · latest 2026-05-17	EO 14365 (signed 11 Dec 2025) set up a DOJ AI Litigation Task Force, ordered Commerce to list 'onerous' state laws, and tied BEAD non-deployment funds (about $42bn unreleased) to state AI policy. The March 2026 White House framework asks Congress for targeted preemption covering algorithmic discrim...	High that federal pressure continues.	Small positive. It lowers the risk of a 50-state patchwork of compliance regimes for Agentforce.	Positive
State AI laws: Colorado AI Act repealed and replaced; California ADMT rules from Jan 2027 AI regulation · latest 2026-06	Colorado: enforcement of SB 24-205 was stayed (27 Apr 2026) during xAI and DOJ litigation. Gov. Polis signed SB26-189 on 14 May 2026, replacing it with a narrower ADMT notice-and-disclosure law effective 1 Jan 2027.	Certain (enacted).	Immaterial to revenue. The strictest state regime has been sharply weakened.	Positive
EU-US Data Privacy Framework under renewed legal attack (Latombe appeal; noyb 'Schrems III') Data sovereignty & privacy · latest 2026-07-02	The EU General Court upheld the DPF on 3 Sep 2025 (Latombe v Commission). Latombe appealed to the CJEU on 31 Oct 2025, and the appeal is pending with no judgment date announced.	Gartner's Nader Henein (2023) expected the DPF to be overturned within 2-5 years, i.e. by about 2028.	Moderate, mostly indirect. Salesforce relies on SCCs and Binding Corporate Rules as well as the DPF, and on Hyperforce EU data residency, so transfers would not stop.	Negative
EU sovereign-cloud push: Cloud and AI Development Act (CADA) and the unfinished EUCS Data sovereignty & privacy · latest 2026-06-11	The Commission proposed CADA on 3 Jun 2026 in its Tech Sovereignty Package. It sets a four-level cloud sovereignty framework.	Analyst judgement: about 50% that CADA is adopted in some form in 2027-28.	Analyst judgement: EU public-sector and critical-infrastructure workloads are perhaps 10-20% of Salesforce's $10.0bn European revenue, about $1-2bn. Levels 3-4 would lock US-controlled SaaS out of the most critical slice, plausibly a few hundred $m of addressable revenue.	Negative

EU Data Act: cloud/SaaS switching rights; switching and egress fees banned from 12 Jan 2027 Data sovereignty & privacy · latest 2025-09-12	Switching rules have applied since 12 Sep 2025, and SaaS counts as a 'data processing service'. Customers can switch on up to 2 months' notice, with a 30-day transition and export in machine-readable formats.	Certain (in force).	Low. Salesforce makes little revenue from egress fees, and contracts are mostly non-cancellable annual or multi-year subscriptions.	Negative
Data localisation: India DPDP Rules phase-in (Nov 2026 / May 2027) and other markets Data sovereignty & privacy · latest 2025-11-13	India's DPDP Rules were notified on 13 Nov 2025. Rule 4 (notice and consent, security safeguards, breach notification, cross-border transfers, Significant Data Fiduciary duties) applies from 13 Nov 2026, and most other rules from 13 May 2027.	Certain that the rules phase in.	Low. APAC is 10% of revenue ($4.3bn in FY26) and India a fraction of that.	Mixed
US federal IT: DOGE licence rationalisation and GSA OneGov discounting (Salesforce/Slack deal) Government spending · latest 2025-05-30	Under OneGov, GSA and Salesforce agreed (19 May 2025) a temporary 90% discount on Slack Enterprise Grid and about 70% per user on Slack AI for every federal agency, valid until 30 Nov 2025. DOGE's licence purges (e.g. IRS used 25 of about 3,000 seats;	High that pricing pressure continues.	Small. USAspending contract obligations mentioning 'Salesforce' (including reseller and SI services such as Carahsoft, V3Gate and Lancer) were $811m in FY2025 and $1.01bn in FY2026.	Negative
US Army $5.6bn IDIQ (Missionforce) and defence demand for agentic AI Government spending · latest 2026-08-26	Awarded 26 Jan 2026: a 10-year IDIQ (5-year base plus 5-year option) with a $5.6bn ceiling, held via subsidiary Computable Insights LLC. It covers recruiting, training, personnel, logistics and case handling on Salesforce, Slack, MuleSoft and Government Cloud.	Contract awarded.	If fully drawn, the ceiling averages about $0.56bn a year, roughly 1.2% of FY27 revenue guidance ($46.1-46.4bn). Analyst judgement: realised run-rate of perhaps $0.2-0.4bn a year.	Positive
Government shutdown risk: record 43-day 2025 shutdown; FY27 CR expires 11 Dec 2026 Government spending · latest 2026-09-03	The 1 Oct 2025 funding lapse became a record 43-day shutdown. For FY27, Congress passed a continuing resolution in early Sep 2026 (Senate 90-6, House 370-48) funding the government to 11 Dec 2026.	Analyst judgement: 25-35% chance of a lapse at or after 11 Dec 2026, given post-midterm dynamics.	Small and mostly timing. A lapse delays federal task orders and renewals;	Negative
OBBBA: immediate domestic R&D expensing cuts Salesforce's cash taxes	OBBBA was enacted 4 Jul 2025. It restores immediate deduction of domestic R&D, reinstates 100% bonus	Certain (enacted).	Income taxes paid (net) fell from $2,061m (FY25) to $1,282m (FY26), down $779m or 38%. US federal	Positive

Tax & trade · latest 2026-03	depreciation and changes the international regime.		tax fell from $1,091m to $658m (down $433m).	
OECD Pillar Two: 'side-by-side' safe harbour for US-parented groups Tax & trade · latest 2026-01	OECD guidance (Jan 2026) adds a 'side-by-side' safe harbour that, if elected, exempts US-parented groups from parts of Pillar Two (IIR/UTPR). Local qualified domestic minimum top-up taxes (QDMTTs) still apply to foreign subsidiaries.	High that the safe harbour is broadly adopted.	Low. The tax-rate reconciliation shows a benefit from Ireland's lower rate (-2.1pts, $197m in FY26).	Positive
Digital services taxes and US retaliation (100% tariff threat; Section 301 on EU digital rules) Tax & trade · latest 2026-07-25	In June 2026 Trump threatened 100% tariffs on countries levying DSTs, with France as the main target. France's DST is 3% (proposals to raise it to 6%), and USTR also opposes the UK, Austrian and Spanish DSTs.	Analyst judgement: 40-50% that US tariffs tied explicitly to EU digital rules or DSTs are imposed within 12 months.	Direct DST cost is low: DSTs mainly target ads, marketplaces and user-data revenue, while B2B SaaS subscriptions are largely outside scope (analyst judgement: <$50m a year even if rates double). The real exposure is escalation.	Negative
Tariffs: indirect effect on customer IT budgets (IEEPA struck down; Section 122/232/301 regime) Tax & trade · latest 2026-05-20	The Supreme Court ruled (20 Feb 2026, 6-3, Learning Resources v. Trump) that IEEPA does not authorise tariffs. The administration replaced them with a 10-15% Section 122 tariff (150-day limit, to 24 Jul 2026) and opened Section 301 'structural excess capacity' probes into 16 partners including the ...	High that tariff uncertainty persists.	Indirect. Salesforce sells software, not goods, so there is no direct tariff cost.	Mixed
FX exposure: about 39% of revenue billed outside the US Tax & trade · latest 2026-08-26	FY26 revenue was $41.5bn: Americas $27.2bn (65%), Europe $10.0bn (25%), APAC $4.3bn (10%). The US is about 93% of the Americas, so roughly 61% of revenue is US and 39% non-US.	Certain exposure.	Analyst judgement: about $14-16bn of revenue is billed in local currencies (mostly EUR, GBP, JPY, AUD, CAD). A 10% broad USD move shifts annual revenue by about $1.4-1.6bn (3-3.5%) and non-GAAP EPS by about 2-4%, partly offset by non-US costs.	Mixed

Table 17 — policy and regulatory shifts with potential to move Salesforce's results or valuation. Sources in Appendix C.

11 · What Wall Street says, and how our figures compare NEW

The Street has swung back to bullish. StockAnalysis has 40 of 56 analysts at Buy or better (average **$285.68**, median $285); MarketBeat has 34 of 50 at Buy with 3 Sells (average $278.12); TipRanks has 30 Buy and 10 Hold (average $277.47). Targets range from $165 (CLSA) to $400 (Needham) on MarketBeat and TipRanks; StockAnalysis's high is $475. The swing began in July: Guggenheim upgraded on 1 Jul, arguing the market was pricing an 'Armageddon' scenario, while KeyBanc and Morgan Stanley (to Equal Weight, $185) downgraded as the stock bottomed near $146 intraday ($150 close). Q2 FY27 (26 Aug) changed the story: revenue $11.35bn vs ~$11.32bn expected, cRPO +14%, Agentforce ARR >$1.5bn and a raised guide. The stock rose 22.6% and about 25 firms raised targets, with more raises to ~$300 after Investor Day (16 Sep). BofA double-upgraded to Buy ($160 → $285) on 12 Oct. The headline $5.90 non-GAAP EPS included ~$2.53 from the Anthropic gain; ex gain it was ~$3.37 ($5.90 less $2.53) vs ~$3.27 expected. Morningstar cut its fair value from $325 (Wide moat) to $280 (Narrow) between February and May 2026.



Fig. 11. Latest target per broker (green Buy/Outperform, grey Hold/Neutral, red Sell/Underperform) vs. price, consensus and the PRISM central value.

Date	Firm	Rating	Target	Rationale (as reported)
2026-10-12	BofA Securities	Underperform → Buy	$160→$285	CIO checks: large enterprises won't replace platforms holding business logic, data and compliance, and 'AI should deepen dependence'.
2026-10-12	RBC Capital	Sector Perform/Hold	—	Reiterated;
2026-10-07	Yorkville Ives & Co	Outperform/Buy	$290	New coverage.

2026-10-06	Barclays	Overweight	$276	Reiterated.
2026-09-21	Jefferies	Buy	$300	Reiterated.
2026-09-18	Wells Fargo	Equal Weight	$230→$250	Post-Investor Day raise.
2026-09-18	Stephens	Equal Weight	$289	Maintained.
2026-09-18	Citizens JMP	Market Outperform	$315	Maintained.
2026-09-17	Stifel	Buy	$275→$300	Six distinct AI monetization paths (core licenses, premium upgrades, Agentforce, Data 360, Agent Fabric, etc.).
2026-09-17	Canaccord Genuity	Buy	$270→$300	Encouraging pipeline, coverage ratios and contract activity;
2026-09-17	Guggenheim	Buy	$270→$300	More open to upside after the event, though pre-Dreamforce risks remain.
2026-09-17	BMO Capital Markets	Outperform	$260→$285	More constructive on enterprise AI benefits;
2026-09-17	Citi	Neutral	$233→$263	Mostly software multiple expansion (24/7 Wall St).
2026-09-17	Freedom Broker	Buy	$230→$295	Post-Investor Day raise.
2026-09-17	RBC Capital	Sector Perform	$250	Cautious: partner checks show improving demand but mixed pricing feedback.
2026-09-17	DA Davidson	Neutral	$200→$225	Post-Investor Day raise (MarketBeat 'set target $225';
2026-09-16	Mizuho	Outperform	$265→$280	Raised on the day of Dreamforce/Investor Day.
2026-09-02	Cantor Fitzgerald	Overweight	$250→$300	Raise after Q2.
2026-09-02	Needham	Buy	$400	Maintained.
2026-09-01	TD Cowen	Buy	$280→$300	Second raise after Q2.
2026-08-31	Argus	Buy	$290→$300	Post-Q2 raise.
2026-08-27	Raymond James	Strong Buy	$290→$310	Post-Q2 raise.
2026-08-27	Truist	Buy	$280→$300	Four-year-high net new AOV growth;

2026-08-27	Jefferies	Buy	$250→$300	Concerns about H2 reacceleration 'soothed'.
2026-08-27	BTIG	Buy	$255→$300	Called the quarter 'narrative-changing'.
2026-08-27	Evercore ISI	Outperform	$250→$290	Post-Q2 raise.
2026-08-27	TD Cowen	Buy	$240→$280	Post-Q2 raise.
2026-08-27	Deutsche Bank	Buy	$255→$275	Post-Q2 raise.
2026-08-27	Stifel	Buy	$250→$275	Post-Q2 raise.
2026-08-27	Goldman Sachs	Buy	$242→$271	Post-Q2 raise.
2026-08-27	Guggenheim	Buy	$228→$270	Results went a long way toward 'dispelling the SaaSpocalypse'.
2026-08-27	Canaccord Genuity	Buy	$225→$270	Organic reacceleration 'increasingly moving from thesis to the numbers'.
2026-08-27	Oppenheimer	Outperform	$250→$275	Post-Q2 raise.
2026-08-27	BMO Capital Markets	Outperform	$230→$260	Post-Q2 raise.
2026-08-27	Mizuho	Outperform	$250→$265	Post-Q2 raise.
2026-08-27	Baird	Outperform	$225→$275	Post-Q2 raise.
2026-08-27	JPMorgan	Overweight	$250→$265	Before the print, saw limited AI disruption.
2026-08-27	Barclays	Overweight	$236→$276	Post-Q2 raise.
2026-08-27	Northland	Market Perform	$202→$253	Post-Q2 raise.
2026-08-27	RBC Capital	Sector Perform	$210→$250	Post-Q2 raise.
2026-08-27	Morgan Stanley	Equal Weight	$185→$235	'A step in the right direction', but Agentforce durability questions 'keep the durability debate open'.
2026-08-27	Wells Fargo	Equal Weight	$205→$230	Cautious: organic exit growth remains below the level its longer-term targets need.
2026-08-27	DA Davidson	Neutral	$175→$200	Post-Q2 raise.

2026-08-27	Citi	Neutral	$204→$233	Results 'improved' but 'not quite a step change'.
2026-08-27	UBS	Neutral	$210→$240	Post-Q2 raise.
2026-08-27	Monness, Crespi, Hardt	Buy	$222→$266	MarketBeat listing.
2026-08-27	Wolfe Research	Upgrade	—	MarketBeat-only listing with no target.
2026-07-21	Morgan Stanley	Overweight → Equal Weight	$287→$185	Agentforce (~$3.4B Agentforce+Data 360 ARR, ~7% of revenue) is too small to offset Commerce/Tableau weakness.
2026-07-20	CLSA	Hold	$165	MarketBeat listing.
2026-07-08	KeyBanc Capital Markets	Overweight → Sector Weight	—	No evidence of future upside: weak customer checks, poor Agentforce feedback, and a CIO survey that singled Salesforce out for negative reasons.
2026-07-01	Guggenheim	Neutral → Buy	$228	The 'Armageddon scenario' priced in is 'misaligned with reality': the stock implied a ~5% perpetual revenue decline at 3.7x recurring revenue and 11x EV/NTM FCF.
2026-07-01	Monness, Crespi, Hardt	Upgrade to Buy	—	Valuation logic similar to Guggenheim's (per TIKR).
2026-06-29	Phillip Securities	Buy → Hold/Neutral	$253→$166	Core SaaS is resilient, but AI revenue will stay immaterial for years.
2026-06-18	Scotiabank	Sector Outperform → Sector Perform	—	MarketBeat-only listing with no targets given.
2026-06-02	Daiwa	Buy	$295→$280	MarketBeat-only listing.
2026-05-29	HSBC	Buy	$350→$356	MarketBeat-only listing.
2026-05-28	Piper Sandler	Overweight → Neutral	—	MarketBeat-only listing with no targets given.
2026-05-28	Macquarie	Neutral	$200→$190	Target cut after Q1 FY27 (MarketBeat;
2026-05-28	Bernstein (Sanford C. Bernstein)	Underperform	$173	Described as a more bearish stance after Q1 (SentiSense).
2026-05-28	Cantor Fitzgerald	Overweight	$250	Reaffirmed after Q1.
2026-05-28	Citizens JMP	Market Outperform	$315	Reiterated after Q1.

2026-05-28	B. Riley	Buy	$205→$240	MarketBeat-only;
2026-05-18	BofA Securities	Underperform	$160	'AI-driven structural reset': AI agents could cut per-seat license demand.
2026-05-12	Citi	Neutral	$200→$188	Ahead of Q1 FY27, trimmed FY27 estimates toward the low end of guidance.

Table 18 — broker actions, 2026.

Item	Wall Street	PRISM (this report)	Read
12-month value	Avg **$286** (median $285; 56 analysts, StockAnalysis); MarketBeat $278; TipRanks $277; median of the 40 latest broker targets $280; range $165–$475	Central **$290** today, **$319** rolled forward 12 months; tail-weighted $278 (12m odds) / $259 (5y odds)	**Aligned: PRISM central 1.4% above the Street average**
Implied return vs $240.70	+19%	+20% to central; +33% on the 12-month roll-forward, plus ~0.7% dividend	Same sign. The Street sits between our tail-weighted and our unweighted central
Rating skew	40 of 56 Buy or better, 15 Hold, 1 Sell (StockAnalysis); 34 of 50 Buy, 13 Hold, 3 Sell (MarketBeat). Holds include Morgan Stanley, Citi, UBS, Wells Fargo and RBC; Bernstein is Underperform ($173)	Equivalent to **Overweight** on the peer-median and EV-based anchors; **Neutral** on the enterprise-apps P/E ($231) and the DCF ($249)	Closest to the PRISM central: Yorkville and Evercore ISI ($290), BofA and BMO ($285); Morningstar $280
FY2027 EPS / revenue	Non-GAAP EPS $16.76 (46 analysts), which includes ~$2.53 of Q2 investment gains; revenue $46.3bn (+11.5%)	We capitalise FY28 EPS ($16.02, ex gains) and treat FY27 as ~$14.23 ex gains; DCF base starts from the same $46.3bn	**Agree on revenue; the headline FY27 EPS is flattered by gains**
P/E the target implies	$286 ÷ $16.02 = **17.8× FY28**	Price is 15.0× FY28 (16.9× FY27 ex gains); PRISM central 18.1× vs peer median 16.9×, mega-cap software 22.3×, enterprise apps 14.4×	Both assume a re-rating to around the peer median, not a return to the old SaaS premium

What the price needs	Street: H2 FY27 organic re-acceleration; Agentforce consumption scales; seat base holds	Reverse DCF: ~7.7% annual revenue growth for FY28–32 at base margins, or a 9.8% WACC on the base case	Today's price discounts the bear-to-base path, not a seat collapse
Cash conversion	FCF plus a ≥14% share-count cut from the $25bn ASR	TTM FCF $15.2bn (34% margin; 7.6% FCF yield), but FY27 OCF growth guided to only 4–5% as ASR interest (~$0.5bn a quarter) bites	Shareholder yield is now partly debt-funded
Probability ≥ $286 in 12m	—	~33% (driftless bootstrap Monte Carlo)	Options: 50.8% implied vol to 2027-12-17

Table 19 — Wall Street vs. PRISM, side by side.

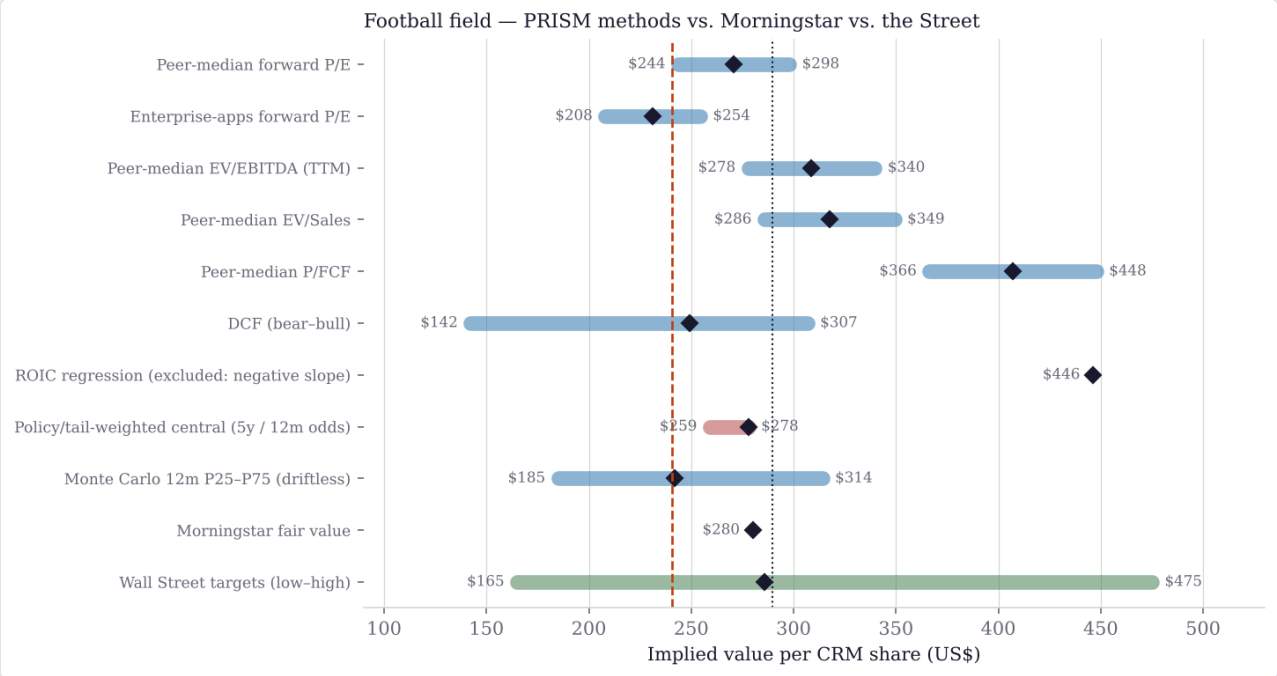


Fig. 12. Football field: PRISM methods (blue, ±10% bands; DCF bear–bull), the excluded ROIC regression (grey band label, black marker), the driftless Monte Carlo P25–P75, the policy/tail-weighted value (red), Morningstar and the Street range.

Reconciling the views. PRISM and the Street broadly agree here. Both put fair value around $280–290, both use FY27 revenue of ~$46.3bn, and both imply ~17.8–18.1× FY28 EPS. The differences are in what sits beneath the number. We treat the Anthropic gains as non-operating (FY27 EPS ~$14.23 ex gains, not $16.76). Our DCF ($249) is less generous than the multiples because it caps the GAAP margin at 29% by FY32. And our tail overlay pulls the 5-year-odds value down to $259.

The Street targets of $300+ (Needham, HSBC, Citizens JMP, Raymond James) need the bull path: organic growth back to ~10% and Agentforce consumption that more than offsets any seat losses. At an 8.5% WACC and 32% terminal margin our DCF gives $338.

12 · Technical read



Fig. 13. Three-year price with MA50/MA200 and Bollinger bands, with catalyst markers.

Indicator	Reading
MA50 / MA200	$230.12 / $199.05. Price above both; golden cross intact.
RSI(14)	55.8 (neutral)
Bollinger %B	82% (upper half; bands $221.53–$244.94)
52-week range	$150.12–$266.23 (-9.6% off high)
Performance	YTD -9.1% · 1-year -2.2%
Realised vol (90d) / implied vol	56.9% / 50.8% (ATM, 2027-12-17)

Table 20 — technical dashboard (16 Oct 2026 close).

The stock has recovered from the July low (~$146 intraday, $150 close) to $241, above a rising 50-day ($230) and 200-day ($199) average, 10% below its 52-week high ($266). The 50-day is the first support zone. Realised volatility (57%) is above implied (50.8%) because the window includes the 22.6% earnings gap.

13 · Price forecast (1 / 3 / 6 months): ETS, ARIMA & VAR

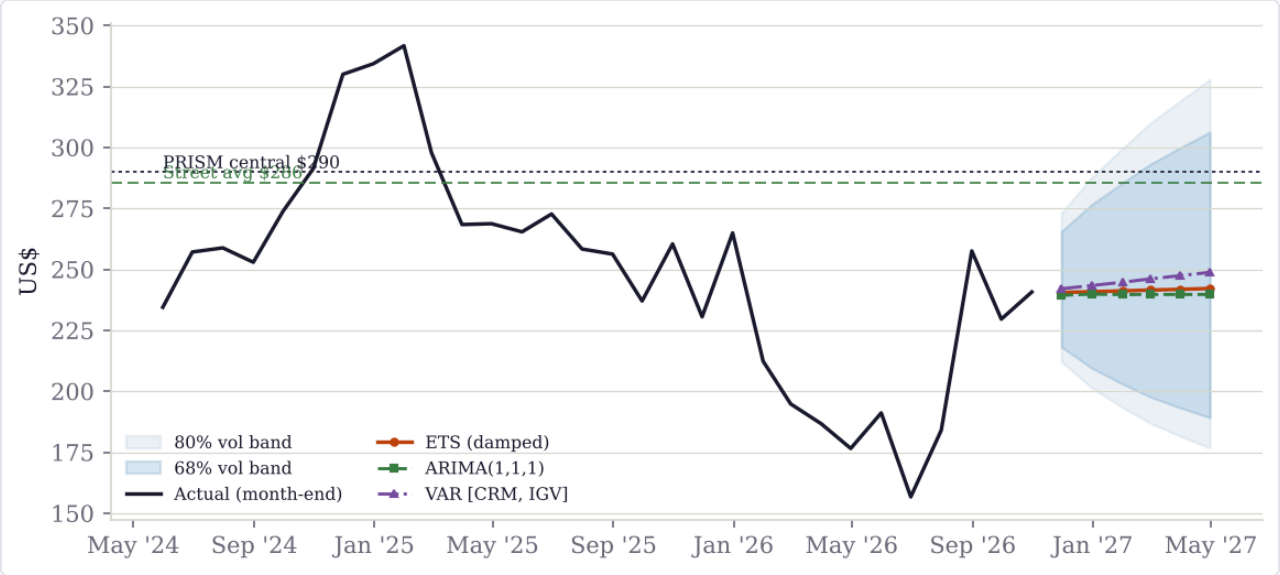


Fig. 14. ETS (damped trend), ARIMA(1,1,1) and a VAR on monthly log-returns of [CRM, IGV], with 68% and 80% volatility bands (normal approximation from realised volatility).

Horizon	ETS	ARIMA	VAR	68% vol band
1 month	$240	$239	$242	$218–$266
3 months	$241	$240	$245	$203–$285
6 months	$242	$240	$249	$189–$306

Table 21 — point forecasts and the 68% volatility band. Scenario anchors, not predictions.

Reading the models. The price is non-stationary (ADF p = 0.203) and trendless over the past year (-2.2%), so all three models are close to flat: ETS ~$242, ARIMA ~$240 and the VAR (0 lags selected, so it reduces to the historical mean return) ~$249 at six months. The useful output is the band: $189–$306 at six months. It brackets both the Street ($286) and our central ($290).

14 · Monte Carlo & events

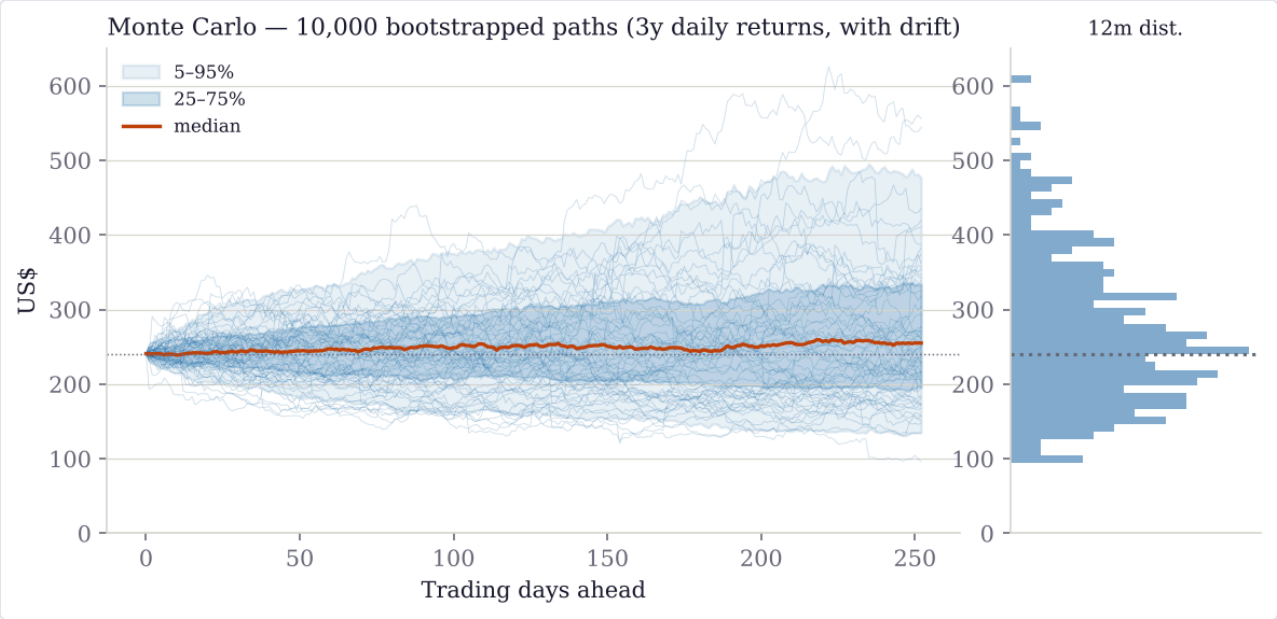


Fig. 15. 10,000 bootstrapped one-year paths from three years of daily returns (with drift).

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo (with drift)	$156	$205	$247	$297	$389	54%
12mo (with drift)	$133	$194	$254	$329	$478	56%
6mo (driftless)	$153	$200	$242	$290	$380	51%
12mo (driftless)	$127	$185	$242	$314	$456	51%

Table 22 — Monte Carlo percentiles (with drift and driftless). The three-year sample includes the 2026 drawdown and the August rally, so the distribution is wide. The driftless run is the neutral case.

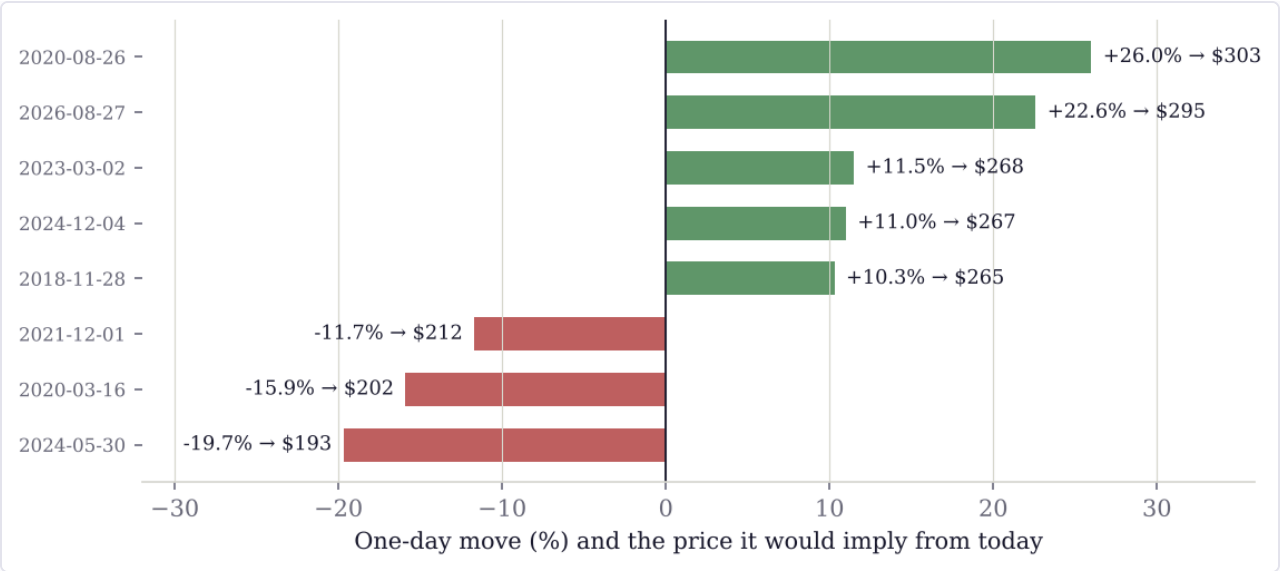


Fig. 16. CRM's largest single-day moves over 10 years (one per 15-day window) and the price each would imply from today.

Date	1-day move	Likely catalyst	If repeated from $241
2024-05-30	-19.7%	Q1 FY25: first revenue miss since 2006, weak guide	$193
2020-03-16	-15.9%	COVID-19 crash — global selloff	$202
2021-12-01	-11.7%	Q3 FY22: soft Q4 guide; Bret Taylor named co-CEO	$212
2018-11-28	+10.3%	Q3 FY19 beat and raise	$265
2024-12-04	+11.0%	Q3 FY25: Agentforce launch momentum, guide raised	$267
2023-03-02	+11.5%	Q4 FY23: margin plan and buyback raised	$268
2026-08-27	+22.6%	Q2 FY27: cRPO +14%, FY27 guide raised	$295
2020-08-26	+26.0%	Q2 FY21: blowout quarter and guide raise	$303

Table 23 — the biggest CRM price events. Attributions are analyst-reconstructed from the dates and press recollection, not from the research files (unverified). Seven of the eight are earnings days: Salesforce trades on guidance and leading indicators (cRPO), and a repeat of the May 2024 miss (−19.7%) from today would imply ~$193.

15 · Competitive landscape

CRM suites: Salesforce (IDC 20.0%) leads Microsoft Dynamics (4.0%), Oracle (4.1%), SAP (3.1%) and Adobe (3.4%), all of which are flat or losing share. Share is moving to the long tail: ServiceNow (AI ACV >$1bn and AI 'specialists' for CRM), HubSpot in the mid-market (+20% in Q2 2026), Zoho and contact-centre vendors (Genesys, NiCE) in service. **AI platforms:** Microsoft has 20m paid Microsoft 365 Copilot seats and Copilot Studio agents. Frontier labs (Anthropic >$65bn run-rate, OpenAI >$40bn) are moving up into business applications, and open protocols such as MCP let third-party agents act on CRM data. **Data and integration:** Data 360 and Informatica compete with Snowflake, Databricks and the hyperscalers; MuleSoft is the #1 iPaaS vendor. **Collaboration:** Slack (IDC 7.6% of collaboration software, 2022) competes with Microsoft (29.7%, mainly Teams). Salesforce's moats are its customer data and metadata, the AppExchange and admin ecosystem, and switching costs from customised workflows and multi-year contracts.

16 · SWOT

STRENGTHS

- CRM leader (IDC 20%) with the AppExchange, ISV and admin ecosystem
- FCF margin 35% (+0.8σ), capex ~1.5% of revenue
- Stock comp down to 8% of revenue; non-GAAP margin ~34%
- cRPO +14% and Agentforce + Data ARR ~$3.9bn

WEAKNESSES

- Reported growth 9–11% (0.7–1.1σ below peers); organic ~6–7%
- ROIC 11% (−0.7σ); goodwill and intangibles ~58% of assets
- Debt-funded ASR: net debt/EBITDA ~2.3×, interest ~$0.5bn a quarter
- Earnings flattered by Anthropic mark-ups

OPPORTUNITIES

- Consumption and premium-edition upsell (each 1% of users upgraded ≈ $100m)
- Data 360 + Informatica as the data layer for enterprise agents
- Public sector and defence (US Army $5.6bn IDIQ ceiling)
- Share-count shrink (≥14%) lifts per-share growth

THREATS

- AI agents compress seats and move pricing to outcomes
- Frontier labs and Microsoft capture the interface layer
- Ecosystem breaches and the security class action
- EU sovereignty rules, Data Act switching rights, US–EU digital trade war

17 · Pairs trades to watch

Long CRM / short IGV isolates Salesforce's Agentforce and margin execution from the software-sector beta that drove the 2026 'SaaSpocalypse'. **Long CRM / short NOW** is a valuation spread: 15.0× vs 28.4× forward EPS for two platforms fighting over service and CRM workflows. **Long MSFT / short CRM** is the reverse view: the owner of the AI interface layer and Copilot distribution against a seat-based application vendor. All should be sized for 57% realised volatility (50.8% implied) and the Q3 FY27 report (~2 Dec, estimated).

18 · Next steps

- Re-run after Q3 FY27 (~2 Dec, estimated): organic growth ex Informatica, Contentful and Fin; cRPO vs the ~14% guide; Agentforce ARR; seat counts in Sales and Service.
- Confirm the ASR final settlement (expected Oct 2026): final share count, average price and the FY28 interest bill.
- Model the Anthropic stake explicitly: carrying value, sensitivity of non-GAAP EPS to further mark-ups or write-downs.
- Track the security-incident class action after the 14 Sep 2026 motion-to-dismiss ruling, and any accrual in the next 10-Q.
- Build a seat-versus-consumption revenue bridge by cloud once the Investor Day recast data are available.
- Monitor the CJEU Latombe appeal (DPF), the CADA trilogue, and the US Section 301 investigation into EU digital rules.

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ADDENDUM — FINANCIAL STATEMENT ANALYSIS & HEALTH CHECK (ANNUAL FY2023–FY2026 AND QUARTER-OVER-QUARTER)

This addendum applies the **finance:financial-statements** workflow. It shows statements in multi-column format with period-over-period dollar and percentage variance, scaled materiality thresholds, driver decomposition of material variances and key-metric summaries. It adds a **quarter-over-quarter (QoQ)** layer covering the last five reported quarters (Q2 FY26 → Q2 FY27) with sequential and year-over-year variance, plus ten quarters of KPIs from Salesforce's releases. Salesforce reports under US GAAP with a fiscal year ending 31 January (FY26 = Feb 2025–Jan 2026). Statement data are the standardised yfinance feed ($m); KPIs come from company releases. Feed quirks: restructuring is merged into 'Other operating, net' (the feed double-counted it); the Q4 FY26 debt draw is untagged and sits in 'Other financing'; and the feed's quarterly operating income is not company-reported (it books all FY26 restructuring in Q4 and has a $317m Q1 FY27 artefact), so the prose uses company-reported GAAP margins. Q4/Q1 billing seasonality makes sequential balance-sheet and cash-flow comparisons noisy, so year-over-year comparisons matter more for those lines.

> **Verdict: a healthy, cash-rich operating engine on a more leveraged balance sheet.** FY2023–26 revenue grew from $31.4bn to $41.5bn (9.8% CAGR) and GAAP operating income from $1.9bn to $8.9bn (margin 5.9% → 21.5%), mostly from the FY24 cost reset. FCF went from $6.3bn to $14.4bn (34.7% margin) with capex below 2% of revenue. The QoQ data show the capital structure changing. In Q1 FY27 Salesforce borrowed ~$25bn to fund a $25bn ASR, so long-term debt rose from $10.4bn to $39.3bn and equity fell from $59.1bn to $34.2bn. Q2 FY27 interest expense was $473m (vs $67m a year earlier). Q2 FY27 GAAP net income of $3.5bn includes ~$2.6–2.9bn of gains on strategic investments. The health questions are **organic growth**, **leverage** and **earnings quality**, not solvency.

Dimension	Rating	Evidence
Revenue & demand	Amber	Revenue +11.2% / +8.7% / +9.6% (FY24–26); +10.8% YoY in Q2 FY27, of which ~4pts is Informatica, so organic is ~6–7%. Leading indicators improving: cRPO +14%, NNAOV growth at a four-year high.

Profitability	Green	Gross margin 73.3% → 77.7%; GAAP operating margin 5.9% → 17.2% → 20.2% → 21.5% (FY23–26); non-GAAP ~34% each quarter. Restructuring of ~$0.9–1.0bn a year (FY24–26) is recurring.
Liquidity	Amber	Current ratio 1.0–1.1× (FY23–25) → 0.8× (FY26), because $24.3bn of unearned revenue (a non-cash liability) and $4bn of short-term debt sit in current liabilities. Cash and marketable securities $9.6bn (FY26) → $11.4bn (Q2 FY27).
Leverage & solvency	Amber	Long-term debt $9.4bn (FY23) → $10.4bn (FY26) → $39.3bn (Q2 FY27); net debt/EBITDA ~2.3× TTM; liabilities/assets 47% (FY26) → 65% (Q2 FY27). Interest expense $473m in Q2 FY27.
Cash generation	Green	CFO $7.1bn → $10.2bn → $13.1bn → $15.0bn; FCF $6.3bn → $9.5bn → $12.4bn → $14.4bn (FY23–26). FY27 OCF growth guided to only 4–5% (interest on ASR debt).
Capital allocation	Amber	Buybacks $4.0bn → $7.6bn → $7.8bn → $12.6bn (FY23–26); dividends since FY25 (~$1.6bn a year); $25bn ASR in Q1 FY27. M&A: Informatica (~$8bn net), Contentful (~$1.5bn) and Fin (~$3.6bn).
Earnings quality	Amber	Gains on strategic investments $1.5bn (FY26), ~$2.6bn (company) / $2.9bn (feed) in Q2 FY27; non-GAAP EPS includes them. Stock comp is still ~8% of revenue. FCF conversion of ~190% of net income is helped by upfront annual billing.

Table 24 — financial health scorecard (FY2023–FY2026 with QoQ trajectory into Q2 FY27).

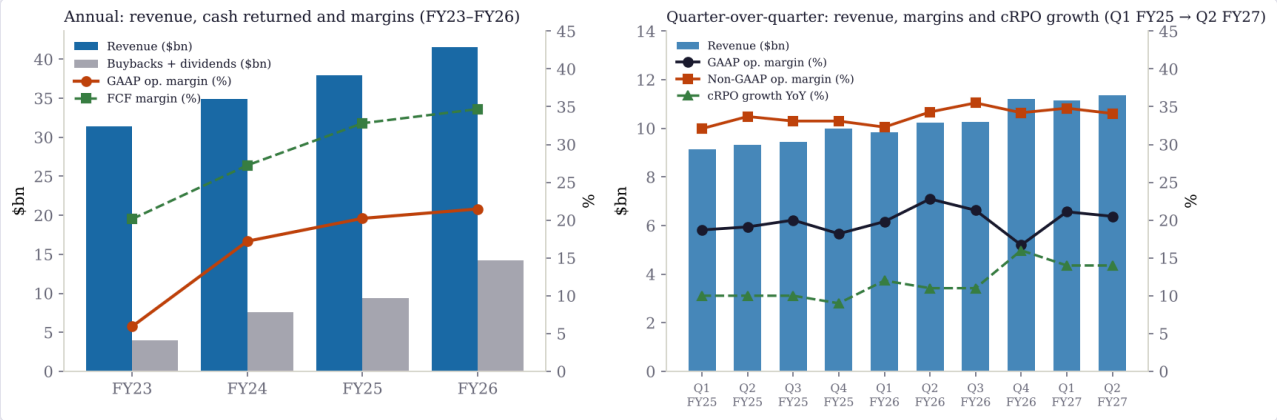


Fig. 17. Left: annual revenue, buybacks and dividends, GAAP operating margin and FCF margin. Right: quarterly revenue, GAAP and non-GAAP operating margins and cRPO growth, Q1 FY25 → Q2 FY27.

A.1 · Annual income statement

Income statement ($m)	FY23	FY24	FY25	FY26	Δ FY24 vs FY23	Δ FY25 vs FY24	Δ FY26 vs FY25
Revenues	**31,352**	**34,857**	**37,895**	**41,525**	**+3,505 / +11%**	**+3,038 / +9%**	**+3,630 / +10%**
Cost of revenues	(8,360)	(8,541)	(8,643)	(9,270)	-181 / -2%	-102 / -1%	-627 / -7%
Gross profit	**22,992**	**26,316**	**29,252**	**32,255**	**+3,324 / +14%**	**+2,936 / +11%**	**+3,003 / +10%**
Research & development	(5,055)	(4,906)	(5,493)	(5,993)	+149 / +3%	**-587 / -12%**	-500 / -9%
Marketing & sales	(13,526)	(11,986)	(12,356)	(13,350)	**+1,540 / +11%**	-370 / -3%	**-994 / -8%**
General & administrative	(2,553)	(2,534)	(2,836)	(3,000)	+19 / +1%	**-302 / -12%**	-164 / -6%
Other operating, net*	0	(891)	(901)	(995)	-891 / n/m	-10 / -1%	-94 / -10%

Operating income	**1,858**	**5,999**	**7,666**	**8,917**	**+4,141 / +223%**	**+1,667 / +28%**	**+1,251 / +16%**
Interest expense	—	—	—	—	—	—	—
Gains on strategic investments, net	252	189	461	1,513	**-63 / -25%**	**+272 / +144%**	**+1,052 / +228%**
Other non-operating, net*	(1,450)	(1,238)	(689)	(910)	+212 / +15%	+549 / +44%	-221 / -32%
Income before taxes	**660**	**4,950**	**7,438**	**9,520**	**+4,290 / +650%**	**+2,488 / +50%**	**+2,082 / +28%**
Provision for income taxes	(452)	(814)	(1,241)	(2,063)	**-362 / -80%**	**-427 / -52%**	**-822 / -66%**
Net income	**208**	**4,136**	**6,197**	**7,457**	**+3,928 / n/m**	**+2,061 / +50%**	**+1,260 / +20%**
Diluted EPS ($)	0.21	4.20	6.36	7.80	+3.99 / n/m	+2.16 / +51%	+1.44 / +23%

*Table 25 — Salesforce consolidated income statement, FY23–FY26 (fiscal years ended 31 January 2023–2026, US GAAP, $m; expenses in parentheses). Shaded Δ cells breach the materiality threshold (lines >$10bn: ≥$500m and ≥5%; $1–10bn: ≥$150m and ≥10%; <$1bn: ≥$50m and ≥15%). *Derived/balancing line.*

Read. Revenue compounded at 9.8% a year (FY23–26) while gross margin rose 4.4pp. The step change was in operating costs: after the January 2023 headcount cut (~10%) and activist pressure, marketing & sales fell 11% in FY24 to $12.0bn and then grew slower than revenue, from 43% of revenue (FY23) to 32% (FY26). R&D stayed at 14–16% of revenue, well below peers. GAAP operating margin went from 5.9% to 21.5%. Below the line, gains on strategic investments rose to $1.5bn in FY26 and EPS rose from $0.21 to $7.80. FY26 EPS growth (+23%) is partly non-operating.

A.2 · Annual key metrics

Metric	FY23	FY24	FY25	FY26	Δ latest
Gross margin (%)	73.3	75.5	77.2	77.7	+0.5pp
Operating margin, GAAP (%)	5.9	17.2	20.2	21.5	+1.2pp
Marketing & sales / revenue (%)	43.1	34.4	32.6	32.1	-0.5pp
R&D / revenue (%)	16.1	14.1	14.5	14.4	-0.1pp
Effective tax rate (%)	68.5	16.4	16.7	21.7	+5.0pp
Net margin, reported (%)	0.7	11.9	16.4	18.0	+1.6pp
Net margin ex investment gains (%)	0.0	11.4	15.4	15.1	-0.3pp
Current ratio (x)	1.02	1.09	1.06	0.76	-0.30
Total debt ex-leases ($bn)	10.6	9.4	8.4	14.4	+6.0
Cash & marketable securities ($bn)	12.5	14.2	14.0	9.6	-4.5
Unearned revenue ($bn)	17.4	19.0	20.7	24.3	+3.6
FCF ($bn)	6.3	9.5	12.4	14.4	+2.0
FCF margin (%)	20.1	27.2	32.8	34.7	+1.9pp
SBC / revenue (%)	10.5	8.0	8.4	8.5	+0.1pp
Buybacks + dividends / FCF (%)	63.4	80.2	75.3	98.5	+23.2pp

Revenue growth (%)	—	11.2	8.7	9.6	+0.9pp

Table 26 — annual key metrics. Δ = FY26 vs FY25.

A.3 · Annual balance sheet

Balance sheet ($m)	FY23	FY24	FY25	FY26	Δ FY24 vs FY23	Δ FY25 vs FY24	Δ FY26 vs FY25
Cash, cash equivalents & marketable securities	12,508	14,194	14,032	9,565	+1,686 / +13%	-162 / -1%	-4,467 / -32%
Accounts receivable	10,755	11,414	11,945	14,339	+659 / +6%	+531 / +5%	+2,394 / +20%
Other current assets (incl. deferred commissions)*	3,132	3,466	3,750	4,318	+334 / +11%	+284 / +8%	+568 / +15%
Total current assets	**26,395**	**29,074**	**29,727**	**28,222**	**+2,679 / +10%**	**+653 / +2%**	**-1,505 / -5%**
Strategic investments	4,672	4,848	4,852	7,591	+176 / +4%	+4 / +0%	+2,739 / +56%
Property & equipment, net	6,592	6,055	5,393	5,123	-537 / -8%	-662 / -11%	-270 / -5%
Goodwill & intangibles	55,693	53,898	55,711	64,756	-1,795 / -3%	+1,813 / +3%	+9,045 / +16%
Other non-current assets (incl. lease ROU, deferred commissions)*	5,497	5,948	7,245	6,613	+451 / +8%	+1,297 / +22%	-632 / -9%
Total assets	**98,849**	**99,823**	**102,928**	**112,305**	**+974 / +1%**	**+3,105 / +3%**	**+9,377 / +9%**
Accounts payable & accrued expenses	6,743	6,111	6,658	8,253	-632 / -9%	+547 / +9%	+1,595 / +24%
Unearned revenue (current)	17,376	19,003	20,743	24,317	+1,627 / +9%	+1,740 / +9%	+3,574 / +17%
Current debt	1,182	999	—	4,000	-183 / -15%	—	—
Other current liabilities (incl. leases)*	590	518	579	548	-72 / -12%	+61 / +12%	-31 / -5%
Total current liabilities	**25,891**	**26,631**	**27,980**	**37,118**	**+740 / +3%**	**+1,349 / +5%**	**+9,138 / +33%**
Long-term debt	9,419	8,427	8,433	10,439	-992 / -11%	+6 / +0%	+2,006 / +24%
Lease liabilities (total)	3,487	3,162	2,959	2,737	-325 / -9%	-203 / -6%	-222 / -8%
Other non-current liabilities*	2,283	2,475	2,962	3,417	+192 / +8%	+487 / +20%	+455 / +15%
Total liabilities	**40,490**	**40,177**	**41,755**	**53,163**	**-313 / -1%**	**+1,578 / +4%**	**+11,408 / +27%**
Stockholders' equity	**58,359**	**59,646**	**61,173**	**59,142**	**+1,287 / +2%**	**+1,527 / +3%**	**-2,031 / -3%**
Total liabilities & equity	**98,849**	**99,823**	**102,928**	**112,305**	**+974 / +1%**	**+3,105 / +3%**	**+9,377 / +9%**

*Table 27 — Consolidated balance sheet at 31 January ($m). *Derived balancing line.*

Read. Goodwill and intangibles rose from $55.7bn to $64.8bn with Informatica (closed 18 Nov 2025) and are ~58% of total assets. Unearned revenue rose from $17.4bn to $24.3bn, a sign of billings growth plus Informatica's acquired deferred revenue. Cash fell from $14.0bn to $9.6bn in FY26 after the Informatica payment, financed partly by $6.0bn of term loans ($4bn 364-day, shown in current debt, and $2bn 3-year). Equity was roughly flat at ~$58–61bn because buybacks offset earnings and stock comp.

A.4 · Annual cash flow

Cash flow statement ($m)	FY23	FY24	FY25	FY26	Δ FY24 vs FY23	Δ FY25 vs FY24	Δ FY26 vs FY25
Net income	208	4,136	6,197	7,457	+3,928 / n/m	+2,061 / +50%	+1,260 / +20%
Depreciation & amortisation	3,786	3,959	3,477	3,631	+173 / +5%	-482 / -12%	+154 / +4%
Stock-based compensation	3,279	2,787	3,183	3,509	-492 / -15%	+396 / +14%	+326 / +10%
(Gains) on strategic investments	239	277	121	(1,017)	+38 / +16%	-156 / -56%	-1,138 / -940%
Change in working capital (incl. unearned revenue)	(2,069)	(2,850)	(1,981)	(781)	-781 / -38%	+869 / +30%	+1,200 / +61%
Other operating items*	1,668	1,925	2,095	2,197	+257 / +15%	+170 / +9%	+102 / +5%
Net cash from operating activities	**7,111**	**10,234**	**13,092**	**14,996**	+3,123 / +44%	+2,858 / +28%	+1,904 / +15%
Capital expenditures	(798)	(736)	(658)	(594)	+62 / +8%	+78 / +11%	+64 / +10%
Net (purchase) / sale of investments	(752)	(509)	229	1,272	+243 / +32%	+738 / +145%	+1,043 / +455%
Acquisitions (net of cash)	(439)	(82)	(2,734)	(9,268)	+357 / +81%	-2,652 / n/m	-6,534 / -239%
Other investing*	0	0	0	0	—	—	—
Net cash from investing activities	**(1,989)**	**(1,327)**	**(3,163)**	**(8,590)**	+662 / +33%	-1,836 / -138%	-5,427 / -172%
Debt issued	0	0	0	6,000	—	—	+6,000 / n/m
Debt repaid	(423)	(1,811)	(1,603)	(584)	-1,388 / -328%	+208 / +11%	+1,019 / +64%
Share repurchases	(4,000)	(7,620)	(7,829)	(12,596)	-3,620 / -90%	-209 / -3%	-4,767 / -61%
Dividends paid	0	0	(1,537)	(1,587)	—	-1,537 / n/m	-50 / -3%
Proceeds from employee stock plans	861	1,954	1,540	1,039	+1,093 / +127%	-414 / -21%	-501 / -33%
Other financing (incl. untagged debt issuance)*	0	0	0	(351)	—	—	-351 / n/m
Net cash from financing activities	**(3,562)**	**(7,477)**	**(9,429)**	**(8,079)**	-3,915 / -110%	-1,952 / -26%	+1,350 / +14%
FX & other*	0	0	0	0	—	—	—
Net change in cash & equivalents	**1,560**	**1,430**	**500**	**(1,673)**	-130 / -8%	-930 / -65%	-2,173 / -435%

Free cash flow (CFO − capex)	**6,313**	**9,498**	**12,434**	**14,402**	**+3,185 / +50%**	**+2,936 / +31%**	**+1,968 / +16%**

*Table 28 — Consolidated statement of cash flows, indirect method ($m). *Derived balancing line.*

Read. Operating cash flow more than doubled (FY23–26) while capex fell from $0.8bn to $0.6bn, so FCF rose from $6.3bn to $14.4bn. In FY26 buybacks ($12.6bn) and dividends ($1.6bn) returned ~99% of FCF, and acquisitions took another $9.3bn, which is why cash fell and debt rose.

A.5 · Quarter-over-quarter (QoQ) analysis NEW

Sequentially, Q2 FY27 revenue rose 1.9% QoQ to $11.35bn. Gross margin was 76.7% (76.9% in Q1; 78.1% a year earlier), diluted by Informatica's mix. Marketing & sales rose $0.41bn QoQ to $3.86bn (34% of revenue) as Agentforce sales capacity was added. GAAP operating income was $2.33bn (company basis, 20.5% margin vs 21.1% in Q1). Interest expense rose to $473m with the ASR debt. Net income rose to $3.5bn on ~$2.6bn of investment gains (feed $2.9bn), and GAAP EPS was $4.29. **Year over year**, revenue rose 10.8% and cRPO 14%. The QoQ balance sheet shows the ASR: Q1 FY27 long-term debt +$28.8bn and equity −$24.9bn. Strategic investments rose from $7.8bn to $11.3bn in Q2 on mark-ups. Receivables and unearned revenue follow the January billing peak (AR $14.3bn at Q4 → $5.1bn at Q1). Cash flow is seasonally weakest in Q2: CFO $1.27bn and FCF $1.1bn (vs $0.74bn and $0.6bn a year earlier), after Q1 CFO of $6.7bn. Buybacks were $27.3bn in Q1 (the ASR) and $84m in Q2.

Quarterly income statement ($m)	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	Q2 FY27	Δ Q3 FY26 vs Q2 FY26	Δ Q4 FY26 vs Q3 FY26	Δ Q1 FY27 vs Q4 FY26	Δ Q2 FY27 vs Q1 FY27	YoY Q2 FY27 vs Q2 FY26
Revenues	**10,236**	**10,259**	**11,201**	**11,133**	**11,345**	**+23 / +0%**	**+942 / +9%**	**-68 / -1%**	**+212 / +2%**	**+11%**
Cost of revenues	(2,242)	(2,255)	(2,508)	(2,570)	(2,649)	-13 / -1%	**-253 / -11%**	-62 / -2%	-79 / -3%	**-18%**
Gross profit	**7,994**	**8,004**	**8,693**	**8,563**	**8,696**	**+10 / +0%**	**+689 / +9%**	**-130 / -1%**	**+133 / +2%**	**+9%**
Research & development	(1,481)	(1,433)	(1,619)	(1,627)	(1,687)	+48 / +3%	**-186 / -13%**	-8 / -0%	-60 / -4%	**-14%**
Marketing & sales	(3,443)	(3,456)	(3,022)	(3,452)	(3,859)	-13 / -0%	**+434 / +13%**	**-430 / -14%**	**-407 / -12%**	**-12%**
General & administrative	(734)	(667)	(902)	(740)	(725)	+67 / +9%	**-235 / -35%**	**+162 / +18%**	+15 / +2%	**+1%**
Other operating, net*	0	0	(995)	(317)	0	—	-995 / n/m	+678 / +68%	+317 / +100%	—
Operating income	**2,336**	**2,448**	**2,155**	**2,427**	**2,425**	**+112 / +5%**	**-293 / -12%**	**+272 / +13%**	**-2 / -0%**	**+4%**
Interest expense	(67)	—	—	(317)	(473)	—	—	—	**-156 / -49%**	**-606%**

Gains on strategic investments, net	92	432	1,005	677	2,898	+340 / +370%	+573 / +133%	-328 / -33%	+2,221 / +328%	n/m
Other non-operating, net*	45	(368)	(532)	(66)	(298)	-413 / -918%	-164 / -45%	+466 / +88%	-232 / -352%	-762%
Income before taxes	**2,406**	**2,512**	**2,628**	**2,721**	**4,552**	**+106 / +4%**	**+116 / +5%**	**+93 / +4%**	**+1,831 / +67%**	**+89%**
Provision for income taxes	(519)	(426)	(685)	(614)	(1,026)	+93 / +18%	-259 / -61%	+71 / +10%	-412 / -67%	-98%
Net income	**1,887**	**2,086**	**1,943**	**2,107**	**3,526**	**+199 / +11%**	**-143 / -7%**	**+164 / +8%**	**+1,419 / +67%**	**+87%**
Diluted EPS ($)	1.96	2.19	2.07	2.42	4.29	+0.23 / +12%	-0.12 / -5%	+0.35 / +17%	+1.87 / +77%	+119%

Table 29 — Quarterly income statement, Q2 FY26 → Q2 FY27 (quarters ended Jul 2025 → Jul 2026; $m). Δ columns are sequential quarter-over-quarter (QoQ); the last column is year-over-year. Quarterly materiality thresholds are half the annual dollar thresholds. Q4 (Jan) is seasonally the strongest bookings and revenue quarter. Caution: the feed's quarterly operating income is not company-reported. It books all FY26 restructuring/other in Q4 and shows Q1 FY27 'Other operating' of $317m, which equals that quarter's interest expense (company restructuring was $80m), so it is a feed artefact. Company-reported GAAP operating margins are 22.8% / 21.3% / 16.7% / 21.1% / 20.5% (Q2 FY26 → Q2 FY27); use those for trend analysis.

Metric	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	Q2 FY27	Δ latest
Gross margin (%)	78.1	78.0	77.6	76.9	76.7	-0.3pp
Operating margin, GAAP (%)	22.8	23.9	19.2	21.8	21.4	-0.4pp
Marketing & sales / revenue (%)	33.6	33.7	27.0	31.0	34.0	+3.0pp
R&D / revenue (%)	14.5	14.0	14.5	14.6	14.9	+0.3pp
Effective tax rate (%)	21.6	17.0	26.1	22.6	22.5	-0.0pp
Net margin, reported (%)	18.4	20.3	17.3	18.9	31.1	+12.2pp
Net margin ex investment gains (%)	17.7	17.0	10.3	14.1	10.9	-3.2pp
Current ratio (x)	1.12	0.98	0.76	0.79	0.84	+0.05
Total debt ex-leases ($bn)	8.4	8.4	14.4	39.3	39.3	+0.0
Cash & marketable securities ($bn)	15.4	11.3	9.6	11.8	11.4	-0.4
Unearned revenue ($bn)	16.6	15.0	24.3	20.4	18.8	-1.6
FCF ($bn)	0.6	2.2	5.3	6.6	1.1	-5.5
FCF margin (%)	5.9	21.2	47.5	58.9	9.7	-49.2pp
SBC / revenue (%)	7.7	8.0	9.7	7.7	8.0	+0.3pp
Buybacks + dividends / FCF (%)	433.7	192.7	81.3	421.2	40.8	-380.4pp

Table 30 — quarterly key metrics. Δ = Q2 FY27 vs Q1 FY27 (QoQ). 'Ex investment gains' removes gains on strategic investments at a 21% tax rate. Quarterly FCF margins are highly seasonal.

KPI	Q1 FY25	Q2 FY25	Q3 FY25	Q4 FY25	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	Q2 FY27	QoQ Δ

Total revenue ($m)	9,133	9,325	9,444	9,993	9,829	10,236	10,259	11,201	11,133	11,345	**+212**
Subscription & support ($m)	8,585	8,764	8,879	9,451	9,297	9,690	9,726	10,675	10,593	10,820	**+227**
Professional services ($m)	548	561	565	542	532	546	533	526	540	525	**-15**
Revenue growth YoY (%)	10.7	8.4	8.3	7.6	7.6	9.8	8.6	12.1	13.3	10.8	**-2.5pp**
Revenue growth, constant currency (%)	11.0	9.0	8.0	9.0	8.0	9.0	8.0	10.0	12.0	11.0	**-1.0pp**
cRPO ($bn)	26.4	26.5	26.4	30.2	29.6	29.4	29.4	35.1	33.6	33.5	**-0.1**
cRPO growth YoY (%)	10	10	10	9	12	11	11	16	14	14	**+0pp**
RPO ($bn)	53.9	53.5	53.1	63.4	60.9	59.9	59.5	72.4	67.9	66.3	**-1.6**
GAAP operating margin (%)	18.7	19.1	20.0	18.2	19.8	22.8	21.3	16.7	21.1	20.5	**-0.6pp**
Non-GAAP operating margin (%)	32.1	33.7	33.1	33.1	32.3	34.3	35.5	34.2	34.8	34.1	**-0.7pp**
GAAP EPS ($)	1.56	1.47	1.58	1.75	1.59	1.96	2.19	2.07	2.42	4.29	**+1.87**
Non-GAAP EPS ($)	2.44	2.56	2.41	2.78	2.58	2.91	3.25	3.81	3.88	5.90	**+2.02**
Operating cash flow ($m)	6,247	892	1,983	3,970	6,476	740	2,316	5,464	6,701	1,269	**-5,432**
Free cash flow ($m)	6,084	755	1,779	3,816	6,297	605	2,177	5,323	6,556	1,098	**-5,458**
Share repurchases ($m)	2,133	4,335	1,285	76	2,633	2,225	3,801	3,937	27,248	84	**-27,164**
Dividends ($m)	388	384	382	383	402	399	395	391	365	364	**-1**
Agentforce ARR ($m; definition changes)	—	—	—	—	—	440	540	800	1,200	1,500	**+300**
Agentforce + Data ARR ($m)	—	—	—	900	1,000	1,200	1,400	2,900	3,400	3,900	**+500**
Informatica revenue ($m)	—	—	—	—	—	—	—	399	444	456	**+12**
Gains on strategic investments ($m)	37	-37	-217	96	-63	6	263	811	558	2,613	**+2,055**

Table 31 — operating KPIs by quarter from Salesforce's earnings releases and 10-Qs (Q1 FY25 → Q2 FY27), with the latest QoQ change. Informatica is consolidated from 18 Nov 2025. Non-GAAP EPS includes gains on strategic investments (Q2 FY27: +$2.53). Agentforce ARR definitions changed several times.

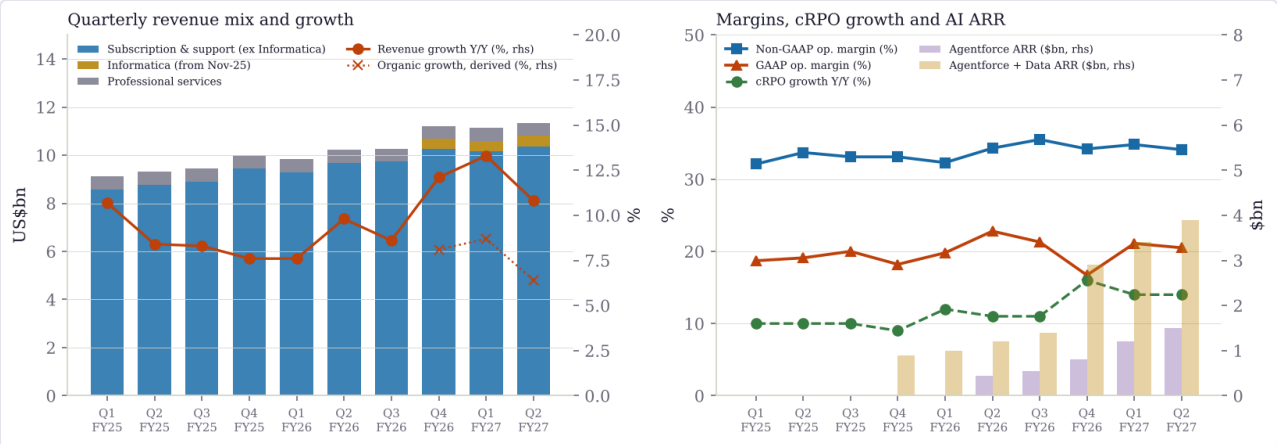


Fig. 18. Ten quarters of revenue mix (subscription, Informatica, services) with reported and organic growth, and GAAP/non-GAAP margins, cRPO growth and AI ARR, Q1 FY25 → Q2 FY27 (company releases; organic growth is derived).

Quarterly balance sheet ($m)	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	Q2 FY27	Δ Q3 FY26	Δ Q4 FY26	Δ Q1 FY27	Δ Q2 FY27	YoY Q2 FY27

						vs Q2 FY26	vs Q3 FY26	vs Q4 FY26	vs Q1 FY27	vs Q2 FY26
Cash, cash equivalents & marketable securities	15,372	11,323	9,565	11,837	11,403	-4,049 / -26%	-1,758 / -16%	+2,272 / +24%	-434 / -4%	-26%
Accounts receivable	5,596	5,474	14,339	5,080	6,320	-122 / -2%	+8,865 / +162%	-9,259 / -65%	+1,240 / +24%	+13%
Other current assets (incl. deferred commissions)*	4,363	4,266	4,318	4,696	4,360	-97 / -2%	+52 / +1%	+378 / +9%	-336 / -7%	-0%
Total current assets	**25,331**	**21,063**	**28,222**	**21,613**	**22,083**	**-4,268 / -17%**	**+7,159 / +34%**	**-6,609 / -23%**	**+470 / +2%**	**-13%**
Strategic investments	5,085	6,410	7,591	7,772	11,324	+1,325 / +26%	+1,181 / +18%	+181 / +2%	+3,552 / +46%	+123%
Property & equipment, net	5,182	5,096	5,123	5,039	4,829	-86 / -2%	+27 / +1%	-84 / -2%	-210 / -4%	-7%
Goodwill & intangibles	55,107	55,948	64,756	65,941	65,392	+841 / +2%	+8,808 / +16%	+1,185 / +2%	-549 / -1%	+19%
Other non-current assets (incl. lease ROU, deferred commissions)*	6,868	6,627	6,613	6,315	5,992	-241 / -4%	-14 / -0%	-298 / -5%	-323 / -5%	-13%
Total assets	**97,573**	**95,144**	**112,305**	**106,680**	**109,620**	**-2,429 / -2%**	**+17,161 / +18%**	**-5,625 / -5%**	**+2,940 / +3%**	**+12%**
Accounts payable & accrued expenses	5,397	5,850	8,253	6,582	7,018	+453 / +8%	+2,403 / +41%	-1,671 / -20%	+436 / +7%	+30%
Unearned revenue (current)	16,555	14,996	24,317	20,363	18,787	-1,559 / -9%	+9,321 / +62%	-3,954 / -16%	-1,576 / -8%	+13%
Current debt	—	—	4,000	—	—	—	—	—	—	—
Other current liabilities (incl. leases)*	580	564	548	557	531	-16 / -3%	-16 / -3%	+9 / +2%	-26 / -5%	-8%
Total current liabilities	**22,532**	**21,410**	**37,118**	**27,502**	**26,336**	**-1,122 / -5%**	**+15,708 / +73%**	**-9,616 / -26%**	**-1,166 / -4%**	**+17%**
Long-term debt	8,436	8,438	10,439	39,280	39,288	+2 / +0%	+2,001 / +24%	+28,841 / +276%	+8 / +0%	+366%
Lease liabilities (total)	2,801	2,701	2,737	2,604	2,455	-100 / -4%	+36 / +1%	-133 / -5%	-149 / -6%	-12%
Other non-current liabilities*	3,056	3,138	3,417	3,616	3,694	+82 / +3%	+279 / +9%	+199 / +6%	+78 / +2%	+21%
Total liabilities	**36,245**	**35,123**	**53,163**	**72,445**	**71,242**	**-1,122 / -3%**	**+18,040 / +51%**	**+19,282 / +36%**	**-1,203 / -2%**	**+97%**
Stockholders' equity	**61,328**	**60,021**	**59,142**	**34,235**	**38,378**	**-1,307 / -2%**	**-879 / -1%**	**-24,907 / -42%**	**+4,143 / +12%**	**-37%**
Total liabilities & equity	**97,573**	**95,144**	**112,305**	**106,680**	**109,620**	**-2,429 / -2%**	**+17,161 / +18%**	**-5,625 / -5%**	**+2,940 / +3%**	**+12%**

Table 32 — Quarter-end balance sheets, Q2 FY26 → Q2 FY27 ($m). Unearned revenue peaks at the January year-end (annual invoicing) and runs down through the year.

Quarterly cash flow ($m)	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	Q2 FY27	Δ Q3 FY26 vs Q2 FY26	Δ Q4 FY26 vs Q3 FY26	Δ Q1 FY27 vs Q4 FY26	Δ Q2 FY27 vs Q1 FY27	YoY Q2 FY27 vs Q2 FY26
Net income	1,887	2,086	1,943	2,107	3,526	+199 / +11%	-143 / -7%	+164 / +8%	+1,419 / +67%	+87%
Depreciation & amortisation	817	851	1,120	985	966	+34 / +4%	+269 / +32%	-135 / -12%	-19 / -2%	+18%
Stock-based compensation	793	819	1,083	857	906	+26 / +3%	+264 / +32%	-226 / -21%	+49 / +6%	+14%
(Gains) on strategic investments	(6)	(263)	(811)	(558)	(2,613)	-257 / n/m	-548 / -208%	+253 / +31%	-2,055 / -368%	n/m
Change in working capital (incl. unearned revenue)	(3,295)	(1,725)	1,569	2,726	(2,105)	+1,570 / +48%	+3,294 / +191%	+1,157 / +74%	-4,831 / -177%	+36%
Other operating items*	544	548	560	584	589	+4 / +1%	+12 / +2%	+24 / +4%	+5 / +1%	+8%
Net cash from operating activities	**740**	**2,316**	**5,464**	**6,701**	**1,269**	+1,576 / +213%	+3,148 / +136%	+1,237 / +23%	-5,432 / -81%	+71%
Capital expenditures	(135)	(139)	(141)	(145)	(171)	-4 / -3%	-2 / -1%	-4 / -3%	-26 / -18%	-27%
Net (purchase) / sale of investments	1,354	1,636	(330)	(586)	(974)	+282 / +21%	-1,966 / -120%	-256 / -78%	-388 / -66%	-172%
Acquisitions (net of cash)	(54)	(978)	(8,236)	(1,452)	(52)	-924 / n/m	-7,258 / -742%	+6,784 / +82%	+1,400 / +96%	+4%
Other investing*	0	0	0	0	0	—	—	—	—	—
Net cash from investing activities	**1,165**	**519**	**(8,707)**	**(2,183)**	**(1,197)**	-646 / -55%	-9,226 / n/m	+6,524 / +75%	+986 / +45%	-203%
Debt issued	0	—	—	24,842	0	—	—	—	-24,842 / -100%	—
Debt repaid	(99)	(160)	(146)	(130)	(176)	-61 / -62%	+14 / +9%	+16 / +11%	-46 / -35%	-78%
Share repurchases	(2,225)	(3,801)	(3,937)	(27,248)	(84)	-1,576 / -71%	-136 / -4%	-23,311 / -592%	+27,164 / +100%	+96%
Dividends paid	(399)	(395)	(391)	(365)	(364)	+4 / +1%	+4 / +1%	+26 / +7%	+1 / +0%	+9%
Proceeds from employee stock plans	232	239	274	230	79	+7 / +3%	+35 / +15%	-44 / -16%	-151 / -66%	-66%
Other financing (incl. untagged debt issuance)*	(12)	(127)	5,788	(250)	(77)	-115 / -958%	+5,915 / n/m	-6,038 / -104%	+173 / +69%	-542%
Net cash from financing activities	**(2,503)**	**(4,244)**	**1,588**	**(2,921)**	**(622)**	-1,741 / -70%	+5,832 / +137%	-4,509 / -284%	+2,299 / +79%	+75%
FX & other*	0	0	0	0	0	—	—	—	—	—
Net change in cash & equivalents	**(598)**	**(1,409)**	**(1,655)**	**1,597**	**(550)**	-811 / -136%	-246 / -17%	+3,252 / +196%	-2,147 / -134%	+8%
Free cash flow (CFO − capex)	**605**	**2,177**	**5,323**	**6,556**	**1,098**	+1,572 / +260%	+3,146 / +145%	+1,233 / +23%	-5,458 / -83%	+81%

Table 33 — Quarterly cash flows, Q2 FY26 → Q2 FY27 ($m). Q1 (Apr) is the seasonally largest cash-collection quarter after January invoicing.

A.6 · Material variance listing (annual and QoQ, significant lines)

Statement	Line	Period	Δ $m	Δ %	Dir.	Driver	Explanation	Nature
Income statement	Revenues	FY24 vs FY23	+3,505	+11%	—	Volume + price	Revenue +11.2%: subscription growth and list-price increases.	Trend
Income statement	Revenues	FY25 vs FY24	+3,038	+9%	—	Slower growth	Revenue +8.7%: seat growth slowed; Data Cloud and MuleSoft offset.	Trend
Income statement	Revenues	FY26 vs FY25	+3,630	+10%	—	Organic + Informatica	Revenue +9.6%; Informatica consolidated from 18 Nov 2025.	Mixed
Income statement	Gross profit	FY24 vs FY23	+3,324	+14%	—	Mix + efficiency	Gross margin 75.5% (+2.2pp).	Trend
Income statement	Gross profit	FY25 vs FY24	+2,936	+11%	—	Efficiency	Gross margin 77.2%.	Trend
Income statement	Gross profit	FY26 vs FY25	+3,003	+10%	—	Volume	Gross margin 77.7%.	Trend
Income statement	Research & development	FY25 vs FY24	-587	-12%	—	AI investment	R&D +12% (Agentforce, Data Cloud).	Investment
Income statement	Marketing & sales	FY24 vs FY23	+1,540	+11%	—	Cost reset	Headcount cut ~10% (Jan 2023) and activist-driven margin plan; S&M −11%.	Structural
Income statement	Marketing & sales	FY26 vs FY25	-994	-8%	—	Agentforce go-to-market	S&M +8% to $13.4bn as Agentforce sales capacity was added.	Investment
Income statement	General & administrative	FY25 vs FY24	-302	-12%	—	Normalisation	G&A +12% after the FY24 cuts.	Trend

Income statement	Operating income	FY24 vs FY23	+4,141	+223%	—	Cost reset	GAAP operating margin 5.9% → 17.2%.	Structural
Income statement	Operating income	FY25 vs FY24	+1,667	+28%	—	Operating leverage	GAAP operating margin 20.2%.	Trend
Income statement	Operating income	FY26 vs FY25	+1,251	+16%	—	Operating leverage	GAAP operating margin 21.5% despite Informatica costs.	Trend
Income statement	Gains on strategic investments, net	FY24 vs FY23	-63	-25%	—	Small losses	Net losses on strategic investments.	Non-operating
Income statement	Gains on strategic investments, net	FY25 vs FY24	+272	+144%	—	Investment mark-ups	Gains on strategic investments.	Non-operating
Income statement	Gains on strategic investments, net	FY26 vs FY25	+1,052	+228%	—	Investment mark-ups	Gains on the Salesforce Ventures portfolio.	Non-operating
Income statement	Income before taxes	FY24 vs FY23	+4,290	+650%	—	Cost reset	Operating income +$4.1bn.	Structural
Income statement	Provision for income taxes	FY26 vs FY25	-822	-66%	—	Profit + ETR	ETR 21.7% from 16.7%.	Trend
Income statement	Net income	FY24 vs FY23	+3,928	n/m	—	Cost reset	EPS $0.21 → $4.20.	Structural
Income statement	Net income	FY25 vs FY24	+2,061	+50%	—	Operating leverage	EPS +51% to $6.36.	Trend
Income statement	Net income	FY26 vs FY25	+1,260	+20%	—	Operating + gains	EPS +23% to $7.80; ~$1.5bn of investment gains.	Partly non-operating
Balance sheet	Cash, cash equivalents & marketable securities	FY26 vs FY25	-4,467	-32%	—	Acquisition	Cash paid for Informatica.	Structural
Balance sheet	Goodwill & intangibles	FY26 vs FY25	+9,045	+16%	—	Acquisition	Informatica (closed 18 Nov 2025).	Structural

Balance sheet	Unearned revenue (current)	FY26 vs FY25	+3,574	+17%	—	Growth + Informatica	Billings growth and acquired deferred revenue.	Trend
Balance sheet	Total current liabilities	FY26 vs FY25	+9,138	+33%	—	Unearned revenue + debt	Higher unearned revenue and the $4bn 364-day Informatica term loan.	Mixed
Balance sheet	Long-term debt	FY26 vs FY25	+2,006	+24%	—	Acquisition financing	$2bn 3-year term loan for Informatica.	Financing
Cash flow statement	Net cash from operating activities	FY24 vs FY23	+3,123	+44%	—	Margin reset	CFO +44% to $10.2bn.	Structural
Cash flow statement	Net cash from operating activities	FY25 vs FY24	+2,858	+28%	—	Earnings	CFO +28% to $13.1bn.	Trend
Cash flow statement	Net cash from operating activities	FY26 vs FY25	+1,904	+15%	—	Earnings	CFO +15% to $15.0bn.	Trend
Cash flow statement	Acquisitions (net of cash)	FY25 vs FY24	-2,652	n/m	—	Acquisitions	Data and AI acquisitions (e.g. Own Data Company, ~$2.1bn per KPI research).	One-off
Cash flow statement	Acquisitions (net of cash)	FY26 vs FY25	-6,534	-239%	—	Acquisition	Informatica and smaller AI deals.	One-off
Cash flow statement	Share repurchases	FY24 vs FY23	-3,620	-90%	—	Capital return	Buybacks $7.6bn (from $4.0bn).	Policy
Cash flow statement	Share repurchases	FY26 vs FY25	-4,767	-61%	—	Capital return	Buybacks $12.6bn.	Policy
Cash flow statement	Free cash flow (CFO − capex)	FY24 vs FY23	+3,185	+50%	—	Margin reset	FCF +50% to $9.5bn.	Structural
Cash flow statement	Free cash flow (CFO − capex)	FY25 vs FY24	+2,936	+31%	—	Earnings	FCF +31% to $12.4bn.	Trend
Cash flow statement	Free cash flow (CFO − capex)	FY26 vs FY25	+1,968	+16%	—	Earnings	FCF +16% to $14.4bn (34.7% margin).	Trend

Q · income statement	Revenues	Q4 FY26 vs Q3 FY26	+942	+9%	Fav.	Seasonal + Informatica	Q4 is the largest quarter; Informatica added from 18 Nov.	Mixed
Q · income statement	Marketing & sales	Q1 FY27 vs Q4 FY26	-430	-14%	Unfav.	Seasonal	Commissions and the new fiscal-year sales kick-off.	Seasonal
Q · income statement	Marketing & sales	Q2 FY27 vs Q1 FY27	-407	-12%	Unfav.	Investment	S&M 34% of revenue (Agentforce capacity, events).	Investment
Q · income statement	Operating income	Q4 FY26 vs Q3 FY26	-293	-12%	Unfav.	Integration + amortisation	Informatica integration costs and amortisation; company GAAP margin 16.7% (feed books all FY26 restructuring here).	Partly one-off
Q · income statement	Operating income	Q1 FY27 vs Q4 FY26	+272	+13%	Fav.	Normalisation	Company GAAP margin 21.1% (feed line distorted by a $317m artefact).	Trend
Q · income statement	Gains on strategic investments, net	Q3 FY26 vs Q2 FY26	+340	+370%	Fav.	Investment mark-ups	$432m of gains.	Non-operating
Q · income statement	Gains on strategic investments, net	Q4 FY26 vs Q3 FY26	+573	+133%	Fav.	Investment mark-ups	~$1.0bn of gains.	Non-operating
Q · income statement	Gains on strategic investments, net	Q2 FY27 vs Q1 FY27	+2,221	+328%	Fav.	Investment mark-ups	$2.6bn of gains on strategic investments (+$2.53 non-GAAP EPS).	Non-operating
Q · income statement	Income before taxes	Q2 FY27 vs Q1 FY27	+1,831	+67%	Fav.	Investment gains	Pretax lifted by $2.9bn of investment gains (feed basis).	Non-operating
Q · income statement	Provision for income taxes	Q2 FY27	-412	-67%	Unfav.	Tax on gains	Tax on investment gains.	Non-operating

		vs Q1 FY27						
Q · income statement	Net income	Q3 FY26 vs Q2 FY26	+199	+11%	Fav.	Gains + margin	Company GAAP margin 21.3% plus $432m of gains.	Mixed
Q · income statement	Net income	Q2 FY27 vs Q1 FY27	+1,419	+67%	Fav.	Investment gains	Net income $3.5bn; ex gains ~$1.2bn as interest on ASR debt rose to $473m.	Non-operating
Q · balance sheet	Accounts receivable	Q4 FY26 vs Q3 FY26	+8,865	+162%	—	Seasonal invoicing	Annual invoicing in January.	Seasonal
Q · balance sheet	Accounts receivable	Q1 FY27 vs Q4 FY26	-9,259	-65%	—	Collections	January invoices collected.	Seasonal
Q · balance sheet	Strategic investments	Q2 FY27 vs Q1 FY27	+3,552	+46%	—	Mark-ups	Revaluation of the Salesforce Ventures portfolio.	Non-operating
Q · balance sheet	Goodwill & intangibles	Q4 FY26 vs Q3 FY26	+8,808	+16%	—	Acquisition	Informatica.	Structural
Q · balance sheet	Unearned revenue (current)	Q4 FY26 vs Q3 FY26	+9,321	+62%	—	Seasonal invoicing	Annual billing peak.	Seasonal
Q · balance sheet	Unearned revenue (current)	Q1 FY27 vs Q4 FY26	-3,954	-16%	—	Recognition	Unearned revenue recognised through the year.	Seasonal
Q · balance sheet	Long-term debt	Q1 FY27 vs Q4 FY26	+28,841	+276%	—	ASR financing	~$25bn of new debt to fund the accelerated share repurchase.	Policy
Q · balance sheet	Stockholders' equity	Q1 FY27 vs Q4 FY26	-24,907	-42%	—	ASR	$25bn ASR; ~103m shares retired upfront.	Policy
Q · cash flow	Net cash from operating	Q4 FY26	+3,148	+136%	—	Seasonal	Q4 collections.	Seasonal

	activities	vs Q3 FY26						
Q · cash flow	Net cash from operating activities	Q2 FY27 vs Q1 FY27	-5,432	-81%	—	Seasonal + interest	Seasonally weak quarter; higher interest on ASR debt.	Seasonal
Q · cash flow	Acquisitions (net of cash)	Q4 FY26 vs Q3 FY26	-7,258	-742%	—	Acquisition	Informatica.	One-off
Q · cash flow	Share repurchases	Q1 FY27 vs Q4 FY26	-23,311	-592%	—	ASR	$25bn accelerated share repurchase.	Policy
Q · cash flow	Share repurchases	Q2 FY27 vs Q1 FY27	+27,164	+100%	—	Pause	Buybacks paused after the ASR.	Policy
Q · cash flow	Free cash flow (CFO − capex)	Q4 FY26 vs Q3 FY26	+3,146	+145%	—	Seasonal	FCF $5.3bn.	Seasonal
Q · cash flow	Free cash flow (CFO − capex)	Q2 FY27 vs Q1 FY27	-5,458	-83%	—	Seasonal	FCF $1.1bn (Q2 FY26: $0.6bn).	Seasonal

Table 34 — material variance listing with drivers (annual and quarterly; $m; significant lines). Direction is profit-economic; balance-sheet and cash-flow lines are left neutral.

A.7 · Follow-up questions for unexplained or one-off variances

- **ASR:** final settlement (expected Oct 2026): total shares retired, average price versus the ~$182 expected, and the coupon on the new debt.
- **Anthropic and other stakes:** carrying value of strategic investments ($11.3bn at Q2 FY27), how much is marketable, and whether management will keep including gains in non-GAAP EPS.
- **Gross margin:** how much of the YoY gross-margin decline is Informatica mix vs amortisation of acquired intangibles vs AI inference costs.
- **Contentful and Fin:** closing dates, purchase-price allocation, and their revenue and margin contribution to H2 FY27.
- **Restructuring:** ~$0.9–1.0bn a year for three years; is it now a recurring cost of running the business?

- **Security incident:** whether a loss accrual or reasonably-possible range will be disclosed after the 14 Sep 2026 motion-to-dismiss ruling.

APPENDIX A — FY2026 RATIO SNAPSHOT, EVERY PEER

Company	Op. margin	ROIC	Rev. gr.	R&D/rev	SBC/rev	Current	ND/EBITDA	FCF mgn	P/E	EV/EBITDA
Salesforce ●	21.5	11.2	9.6	14.4	8.4	0.76	0.61	34.7	26.4	16.3
Microsoft	45.6	37.2	14.9	11.5	4.2	1.35	-0.21	25.4	36.3	23.2
Oracle	31.4	15.5	8.4	17.2	8.1	0.75	3.83	-0.7	37.3	23.0
SAP	26.1	15.8	7.7	18.0	4.6	1.16	-0.21	22.9	34.0	22.0
ServiceNow	13.7	18.5	20.9	22.3	14.7	1.00	-1.51	34.1	91.8	61.1
Workday	10.7	13.3	13.1	28.0	17.0	1.32	-1.18	29.1	65.7	32.0
Adobe	36.6	59.3	10.5	18.1	8.2	1.00	0.01	41.4	18.5	13.9
Intuit	26.2	18.5	15.6	15.5	10.5	1.36	0.36	32.3	56.6	38.5
Autodesk	24.9	38.8	17.5	22.8	10.9	0.85	0.07	33.0	47.7	27.0
HubSpot	0.4	1.2	19.2	28.9	16.9	1.67	-9.76	18.4	459.4	133.0
Snowflake	-30.6	-136.4	29.2	42.0	34.1	1.30	—	23.9	—	—
Atlassian	-2.5	—	19.7	51.2	26.1	1.22	—	27.1	—	—

Table 35 — latest-fiscal-year ratios by company, mapped to calendar 2025 (Salesforce FY26 ends Jan 2026; Workday, Autodesk and Snowflake Jan 2026; Microsoft and Atlassian Jun 2025; Oracle May 2025; Intuit Jul 2025; Adobe Nov 2025; SAP, ServiceNow and HubSpot Dec 2025).

APPENDIX B — METHOD & DATA NOTES

- **Peers (n = 11):** MSFT, ORCL, SAP (Xetra listing, EUR; ratios and multiples are currency-neutral), NOW, WDAY, ADBE, INTU, ADSK, HUBS, SNOW, TEAM. σ is the sample standard deviation across peers, after excluding values more than 5 robust-σ (1.4826×MAD) from the median when at least 7 peers remain.
- **Definitions:** ROIC = EBIT×(1–t) / average (total debt + equity − cash). EBITDA = operating income + D&A from the cash-flow statement. FCF = CFO − capex (before stock comp). Trailing P/E 'ex gains' removes gains on strategic investments at a 21% tax rate.
- **Salesforce balance-sheet items:** debt includes lease liabilities ($41.7bn at Q2 FY27). Strategic investments ($11.3bn, incl. the Anthropic stake) are added in the equity bridge for the EV-based methods and the DCF. Share count (823m) reflects the ASR's initial delivery; the final settlement may retire more shares.
- **DCF:** FY27E revenue $46.3bn; WACC 9.63% (normalised rf 4.5%, β 1.26 from yfinance, ERP 5%); value-driver terminal value with g 3.5% and RONIC 25%. Capex 1.5% of revenue; D&A 7.5%, 7.0%, 6.5%, 6.0%, 5.5%. Margins are GAAP EBIT (after stock comp and intangible amortisation).
- **Fiscal labels:** Salesforce's fiscal year ends 31 January; FY26 = Feb 2025–Jan 2026 and is mapped to calendar 2025 for peer comparison. Interest coverage is not shown for Salesforce because the yfinance feed omits annual

interest expense.

- **Scenario overlay:** probabilities and value hits are analyst judgement anchored on BofA, IDC, Cyentia, Gartner and the research agent's estimates. They are illustrative.
- **Street figures:** StockAnalysis (S&P Global), MarketBeat, TipRanks and Benzinga consensus; broker actions from MarketBeat, TipRanks, Benzinga and press. MarketBeat's 12 Oct rows contain apparent data errors (e.g. duplicate 'initiations'), so we use the most recent dated action per firm. FY28 consensus is from yfinance and could not be cross-verified.

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Provenance. PRISM deep-dive for Salesforce, Inc., extended edition (ratio σ panel, six-method valuation and DCF, TAM, patents and IP, geopolitical and structural scenarios, litigation, policy, Wall Street comparison, annual and QoQ statement analysis). Content hash a42a55db65fa2b1c · 2026-10-16. **Not investment advice.**